

Local Government Operation Act, 2017

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 53

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Local Government Operation Act, 2074."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of a Rural Municipality.

(b) "Deputy Chief" means the Deputy Chief of a Municipality.

(c) "Vice-Chairperson" means the Vice-Chairperson of a Rural Municipality.

(d) "Chief Administrative Officer" means the Chief Administrative Officer pursuant to Section 84.

(e) "Executive" means the Rural Executive and the Municipal Executive.

(f) "Rural Municipality" means a Rural Municipality established pursuant to the Constitution.

(g) "Rural Assembly" means the Rural Assembly pursuant to Sub-section (1) of Article 222 of the Constitution.

(h) "District Coordination Committee" means the District Coordination Committee pursuant to Sub-section (3) of Article 220 of the Constitution.

(i) "District Assembly" means the District Assembly pursuant to Sub-section (1) of Article 220 of the Constitution.

(j) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

(k) "Municipality" means a Municipality established pursuant to the Constitution, and the term also includes Metropolis and Sub-Metropolis.

(l) "Municipal Assembly" means the Municipal Assembly pursuant to Sub-section (1) of Article 223 of the Constitution.

(m) "Judicial Committee" means the Judicial Committee pursuant to Article 217 of the Constitution.

(n) "Office Bearer" means the Chairperson, Chief, Vice-Chairperson, Deputy Chief, Ward Chairperson, and other members of the Executive.

(o) "Chief" means the Chief of a Municipality.

(p) "Ministry" means the Ministry of the Government of Nepal dealing with local levels.

(q) "Plan" means projects and programs.

(r) "Ward" means a Ward of a Rural Municipality or Municipality.

(s) "Ward Chairperson" means the Chairperson of a Ward.

(t) "Ward Committee" means the Ward Committee pursuant to Sub-section (4) of Article 222 and Sub-section (4) of Article 223 of the Constitution.

(u) "Member" means,-

(1) In relation to a Rural Municipality, the member of the Rural Assembly or the Rural Executive, and the term also includes the Chairperson, Vice-Chairperson, Ward Chairperson, and member of the Ward Committee of the Rural Assembly or the Rural Executive.

(2) In relation to a Municipality, the member of the Municipal Assembly or the Municipal Executive, and the term also includes the Chief, Deputy Chief, Ward Chairperson, and member of the Ward Committee of the Municipal Assembly or the Municipal Executive.

(3) In relation to the District Assembly, the member of the District Assembly and the District Coordination Committee, and the term also includes the Chief and Deputy Chief of the District Assembly and the Chief and Deputy Chief of the District Coordination Committee.

(v) "Assembly" means the Rural Assembly or the Municipal Assembly.

(w) "Constitution" means the Constitution of Nepal.

(x) "Local Law" means a law made by the Rural Assembly or the Municipal Assembly.

(y) "Local Level" means a Rural Municipality or Municipality, and the term also includes the District Assembly.

Chapter-2

Number, Boundaries, and Centers of Rural Municipalities and Municipalities

3. Number and Boundaries of Rural Municipalities and Municipalities: (1) The number and boundaries (specifying the four cardinal limits) of Rural Municipalities and Municipalities shall be determined pursuant to Sub-section (3) of Article 295 of the Constitution.

(2) The Government of Nepal may, subject to Sub-sections (3) and (4), alter the number or boundaries of Rural Municipalities and Municipalities determined pursuant to Sub-section (1) based on population, geography, administrative convenience, infrastructure development status, economic capacity, availability of natural resources, and linguistic, cultural, and community composition. Provided that, The number and boundaries shall not be altered in such a way that a Rural Municipality or Municipality of one district falls within another district.

(3) If the number or boundaries of a Rural Municipality or Municipality need to be altered, a proposal must be passed by a two-thirds majority of the total number of members currently serving in the Assembly of the affected Rural Municipality or Municipality and submitted to the Provincial Government.

(4) Within fifteen days of receiving the proposal pursuant to Sub-section (3), the Provincial Government shall recommend to the Government of Nepal to alter the number or boundaries of the Rural Municipality or Municipality according to that proposal.

(5) If the number and boundaries of a Rural Municipality or Municipality need to be altered, the alteration

must be completed at least one year prior to the date of the election of the Rural Municipality or Municipality.

4.

Name and Center of a Rural Municipality or Municipality: (1) The Government of Nepal shall, in consultation with the Provincial Government, determine the name and center of a Rural Municipality or Municipality. (2) The minimum standards for land area, physical infrastructure, and other matters required for the center of a Rural Municipality or Municipality shall be as determined by the Government of Nepal. (3) If the name or center of a Rural Municipality or Municipality needs to be altered, the Executive shall submit a proposal passed by a two-thirds majority of the total number of members currently serving in the relevant Assembly to the Government of Nepal through the Provincial Government. (4) If the Government of Nepal deems appropriate the proposal received pursuant to Sub-section (3), it may alter the name or center of such Rural Municipality or Municipality. (5) Notwithstanding anything contained elsewhere in this Section, within six months from the date of the first election of the Rural Municipality or Municipality, if the relevant Assembly passes a proposal by a majority of the total number of members currently serving therein and recommends it to the Government of Nepal for altering the name or center of the Rural Municipality or Municipality once, the Government of Nepal shall alter the name or center according to that recommendation. (6) When recommending the alteration of a center pursuant to this Section, it shall be done subject to the standards mentioned in Sub-section (2). (7) If the name or center of a Rural Municipality or Municipality is altered, information thereof shall be given to the Provincial Government. (8) If the name of a Rural Municipality or Municipality coincides with the name of another Rural Municipality or Municipality, the Government of Nepal may, through the Provincial Government, send a suggestion to the concerned Rural Municipality or Municipality to change such name. (9) Upon receiving the suggestion pursuant to Sub-section (8), the Executive shall, following the procedure under Sub-section (3), change the name of the Rural Municipality or Municipality and submit it to the Government of Nepal through the Provincial Government.

5.

Number, Boundaries, and Center of Wards: (1) The Government of Nepal shall determine the boundaries and number of wards to be in a Rural Municipality or Municipality. (2) When determining the number of wards pursuant to Sub-section (1), the Government of Nepal shall ensure that a Rural Municipality has at least five and at most twenty-one wards, and a Municipality has at least nine and at most thirty-five wards. (3) The Assembly shall, upon the recommendation of the concerned Ward, pass a proposal by a majority of the total number of members currently serving therein based on the following grounds and determine the center of the Ward:- (a) Population and population distribution status, (b) Geographical continuity, suitability, and specificity, (c) Linguistic, cultural, and social specificity, (d) Distribution status and accessibility of service facilities, (e) Existing physical infrastructure.

6. Power to Alter Number and Boundaries of Wards: (1) The Government of Nepal may alter the number and boundaries of wards determined pursuant to Section 5 as required. (2) When altering the number and boundaries of wards pursuant to Sub-section (1), the grounds mentioned in Sub-section (3) of Section 5 shall be adopted. (3) If it is necessary to alter the number or boundaries of a Ward, a proposal must be passed by a two-thirds majority of the total number of members currently serving in the Rural Assembly or Municipal Assembly and submitted to the Government of Nepal through the Provincial Government. (4) Upon receiving a proposal pursuant to Sub-section (3), the Government of Nepal shall alter the number or boundaries of the Ward according to that proposal within six months. (5) When altering the number and boundaries of wards pursuant to this Section, the alteration must be completed at least one year prior to the election of the Rural Municipality or Municipality. (6) Notwithstanding anything contained elsewhere in this Section, within six months from the date of the first election of the Rural Municipality or Municipality, if the Rural Assembly or Municipal Assembly passes a proposal by a majority of the total number of members currently serving therein to alter the boundaries of a

Ward and submits it to the Government of Nepal through the Provincial Government, the Government of Nepal shall alter the boundaries of the Ward. (7) If it is necessary to alter the center of a Ward, the center of the Ward may be altered by passing a proposal by a two-thirds majority of the total number of members currently serving in the Rural Assembly or Municipal Assembly in consultation with the Ward Committee.

Provided that, for the first time after the commencement of this Act, the center of a Ward may be altered by passing a proposal by a majority of the total number of members currently serving in the Rural Assembly or Municipal Assembly.

(8) When altering the center of a Ward pursuant to Sub-section (7), the concerned Rural Municipality or Municipality shall arrange for the necessary physical infrastructure and other arrangements from its internal revenue.

(9) If the center of a Ward is altered pursuant to Sub-section (7), the concerned Rural Municipality or Municipality shall send information thereof to the Provincial Government and the Government of Nepal within thirty-five days.

(10) Notwithstanding anything contained elsewhere in this Section, the Government of Nepal may include a Ward of a Rural Municipality or Municipality in another adjoining Rural Municipality or Municipality.

(11) When including a Ward pursuant to Sub-section (10), a proposal must be passed by a two-thirds majority of the total number of members currently serving in the Assemblies of the Rural Municipality or Municipality where the Ward is located and the one where it is to be included, and submitted to the Government of Nepal through the Provincial Government. 7. Rural Municipalities or Municipalities may Merge with Each Other: (1) If two or more adjoining Municipalities and Municipalities, Rural Municipalities and Rural Municipalities, or Municipalities and Rural Municipalities within a district so desire, they may pass a proposal to merge with each other by a majority of the total number of members currently serving in the relevant Assembly.

(2) When passing a proposal pursuant to Sub-section (1), details including the name of the Rural Municipality or Municipality to be established after such merger, the boundaries, number, and center of wards shall be specified and submitted to the Provincial Government.

(3) Upon receiving a proposal with details pursuant to Sub-section (2), the Provincial Government shall analyze the economic and social aspects of such proposal and recommend it to the Government of Nepal within thirty days.

(4) If the Government of Nepal decides to merge the Rural Municipality or Municipality pursuant to the recommendation under Sub-section (3), it shall also determine the name, number and boundaries of wards, and center of such Rural Municipality or Municipality.

(5) The implementation of the decision made pursuant to this Section regarding the merger of Municipalities or Rural Municipalities shall come into effect from the next election immediately thereafter.

(6) The Government of Nepal and the Provincial Government shall provide additional grants to the Rural Municipality or Municipality established by merger pursuant to this Section, over and above the grants provided prior to the merger. 8.

Explanation: For the purposes of this clause, "Himalayan district, hilly district, Inner Terai, Terai districts, and districts of the Kathmandu Valley" refer to the districts as mentioned in Schedule-1.

(2) Has an average annual internal revenue for the last five years of at least one crore rupees for a

Himalayan region and at least three crore rupees for other districts.

- (3) Has roads, sidewalks, electricity, drinking water, communication, and other similar minimum urban facilities.
- (4) Has proper management of solid waste and landfill site.
- (5) Has open spaces and parks gardens as prescribed in each Ward.
- (6) Has hospital facilities with at least twenty-five beds.
- (7) Has a bus park with passenger waiting area and public toilets.
- (8) Has drinking water and sanitation arrangements.
- (9) Has services of banks and financial institutions.
- (10) Has community buildings and auditoriums.
- (11) Has a market area.
- (12) Has a slaughterhouse.
- (13) Has a cremation site.
- (14) Has a playground.
- (15) Has a city master plan prepared.
- (16) Has fulfilled other prescribed standards and has other urban facilities.

(b) Sub-Metropolis

- (1) Has a permanent resident population of at least two hundred thousand.
- (2) Has an average annual internal revenue for the last five years of at least twenty-five crore rupees.
- (3) Has hospital facilities of at least two hundred beds, including at least one hospital with one hundred beds.
- (4) Has a waste treatment and management system.
- (5) Has an auditorium.
- (6) Has a national-level stadium, gymnasium, and covered hall.
- (7) Has availability of electricity, drinking water, and communication services.
- (8) Major roads within the city are paved.
- (9) Has facilities for higher education and technical education.
- (10) Has arrangements for public parks and a city hall.
- (11) Has a modern slaughterhouse and an organized cremation site.
- (12) Public use sites and buildings are disability-friendly and physically accessible.
- (13) Has tourist-standard hotels, motels, and resorts.
- (14) Has other infrastructure prescribed for a Municipality.
- (15) Has other urban facilities as prescribed.

(c) Metropolis

- (1) Has a permanent resident population of at least five hundred thousand.
- (2) Has an average annual internal revenue for the last five years of at least one billion rupees.
- (3) Has a bus park with terminals, sufficient facilities for parking, subway, and sidewalks.
- (4) Has urban transport facilities and disability-friendly public vehicle facilities.
- (5) At least seventy-five percent of the total road length are paved roads.
- (6) Has educational institutions up to the post-graduate level.
- (7) Has hospital facilities of at least five hundred beds, including at least one general hospital with one hundred beds, with specialist service.
- (8) Has organized vegetable and fruit sale centers.
- (9) Has shopping malls.
- (10) Has a stadium suitable for conducting international-level sports.

- (11) Has easy access for transportation to/from an international-level airport.
- (12) Has arrangements for an international-level auditorium and an international-level trade fair ground.
- (13) Has a museum.
- (14) Has a technical school.
- (15) Has international-level hotel facilities.
- (16) Has conservation of heritage of special significance within its area.
- (17) Has sufficient recreational areas.
- (18) Has children's parks and senior citizen recreation areas.
- (19) Has theaters and creative galleries.
- (20) Has urban greenery and beauty.
- (21) Has other urban facilities as prescribed.

(2) Notwithstanding anything contained in Sub-section (1), the Municipalities, Sub-Metropolises, or Metropolises existing at the time of commencement of this Act shall be deemed to have been established under this Act.

9. Power to Declare Cultural or Tourist Area: (1) The Provincial Government may, if it deems appropriate for the protection of historical significance, archaeological objects, art, or culture, or for the promotion of tourism within a Rural Municipality or Municipality, prescribe standards for that purpose and declare a Rural Municipality or Municipality, or any area thereof, specifying its four cardinal limits, as a Cultural or Tourist Area.

(2) The Provincial Government may arrange special programs and budgets for the development of Cultural or Tourist Areas declared pursuant to Sub-section (1).

(3) Notwithstanding anything contained in Sub-section (1), a Rural Municipality or Municipality may declare any place within its area as a Cultural or Tourist Area. 10. Notice to be Published in the Nepal Gazette: The Government of Nepal shall publish a notice of decisions made on the following matters in the Nepal Gazette:-

- (a) Determination and alteration of the number and boundaries of Rural Municipalities and Municipalities,
- (b) Name of Rural Municipalities and Municipalities and its alteration,
- (c) Determination and alteration of the ward number, boundaries specifying the four cardinal limits, and center of wards of Rural Municipalities and Municipalities,
- (d) Merger of Rural Municipalities and Municipalities with each other,
- (e) Declaration of Municipality, Sub-Metropolis, and Metropolis. Chapter-3

Functions, Duties, and Powers of Rural Municipalities and Municipalities

11. Powers of Rural Municipalities and Municipalities: (1) The exclusive powers of a Rural Municipality or Municipality shall be as mentioned in Schedule-8 of the Constitution.

(2) Without prejudice to the generality of Sub-section (1), the functions, duties, and powers of a Rural Municipality or Municipality shall be as follows:-

a. Municipal Police

(1) Formation, operation, management, regulation of Municipal Police, and formulation and implementation of policies, laws, and standards relating to Municipal Police.

(2) May mobilize Municipal Police to assist in the following functions:-

- (a) Implementation of policies, laws, standards, and decisions of the Rural Municipality or Municipality,
- (b) Security and protection of property of the Rural Municipality or Municipality,

- (c) Security management of local assemblies, ceremonies, traditions, festivals, and processions,
- (d) Supervision and management of local markets and parking areas,
- (e) Implementation of standards relating to village or city sanitation,
- (f) Implementation of mediation and decisions made by the Judicial Committee,
- (g) Protection and security of public fallow and uncultivated land, public buildings, heritage, and physical infrastructure,
- (h) Search, rescue, relief, and rehabilitation related to disaster management,
- (i) Control of unauthorized advertisements and hoarding boards,
- (j) Control of stray animals,
- (k) Prevention and control of unauthorized construction and encroachment of public property,
- (l) Other functions assigned by the Executive.

b.

Cooperative Institutions

- (1) Formulation, implementation, and regulation of local policies, laws, and standards relating to cooperative institutions,
- (2) Registration, permission, cancellation, and dissolution of cooperative institutions operating within the geographical area of the concerned Rural Municipality or Municipality,
- (3) Determination and regulation of local standards relating to cooperative savings and loan mobilization,
- (4) Coordination and collaboration with national, central, thematic, provincial, and local associations and organizations related to cooperatives,
- (5) Local data management and study and research related to cooperatives,
- (6) Capacity building of local cooperative institutions,
- (7) Promotion, mobilization, and development of the local cooperative sector.

c. FM Operation

- (1) Operating permission, renewal, regulation, and cancellation of FM Radio up to 100 watts,
- (2) Other functions related to FM operation, subject to provincial law.

d. Local Taxes, Service Fees, and Charges

- (1) Policy, law, standards, implementation, and regulation relating to property tax, house rent tax, house and land registration fee, vehicle tax, service fee and charges, tourism fee, advertisement tax, business tax, land tax (land revenue), entertainment tax, subject to federal and provincial law,
- (2) Determination, collection, and management of fees for local infrastructure and services,
- (3) Fees for new tourism services and adventure sports operated in water and land areas including trekking, kayaking, canyoning, bungee jumping, zip flyer, rafting, motorboat, cable car services,
- (4) Determination and collection of herbs, scrap, and animal taxes,
- (5) Expansion and promotion of local revenue base,
- (6) Collection of sales and export fees and charges for natural and mineral substances like stone, gravel, sand, soil, firewood, roots, slate, limestone,
- (7) Determination and collection of fees and charges for recommendations, registration, permission, renewal, etc.,
- (8) Incentives for local revenue promotion,
- (9) Exchange of revenue information and data,
- (10) Policy, law, standards, and regulation relating to revenue leakage control at the local level, subject to federal and provincial law,

- (11) Policy, law, standards, and regulation relating to service fees and charges for local infrastructure services and use,
- (12) Land revenue collection,
- (13) Other functions relating to taxes and service fees.

e. Management of Local Services

- (1) Policy, standards, terms of service, planning, implementation, and regulation relating to management of local services,
- (2) Management, utilization, and coordination of employees adjusted pursuant to Sub-section (2) of Article 302 of the Constitution,
- (3) Organizational development, human resource management, and career development,
- (4) Conducting organization and management surveys and determining organizational structure and posts pursuant to local law,
- (5) Use, promotion, and regulation of information and communication technology in the management of local services,
- (6) Human resource management and career development,
- (7) Other functions relating to management of local services.

f.

Collection of Local Statistics and Records

- (1) Policy, law, standards, planning, implementation, and regulation relating to local statistics,
- (2) Collection and management of baseline data,
- (3) Record and registration management of birth, death, marriage, divorce, migration registration, and family lineage,
- (4) Collection and management of baseline data integrated with information and communication technology,
- (5) Other functions relating to collection of local statistics and records.

g. Local Level Development Projects and Programs

- (1) Formulation, implementation, monitoring, evaluation, and regulation of policies, laws, and standards relating to development projects and programs,
- (2) Formulation, implementation, monitoring, and evaluation of necessary projects and programs for economic, social, cultural, environmental, technological, and infrastructural development,
- (3) Study, research, and impact evaluation of projects,
- (4) Identification and record management of potential natural resources,
- (5) Formulation, project identification, study, implementation, and regulation of policies, laws, standards, and related plans for urban development, settlement development, and buildings, subject to federal and provincial law,
- (6) Building construction permission, monitoring, and regulation according to the National Building Code and standards,
- (7) Construction, maintenance, operation, and management of government buildings, schools, community buildings, auditoriums, and other public buildings and structures,
- (8) Coordination, facilitation, and support in the implementation of federal and provincial level projects and programs,
- (9) Formulation, implementation, monitoring, regulation, and evaluation of policies, plans, and programs relating to safe settlement development,
- (10) Issuance, renewal, and cancellation of "Class 'D'" licenses for public construction works as per prevailing

law,

(11) Identification, implementation, management, monitoring, and regulation of projects relating to tourism sector development, expansion, and promotion,

(12) Identification, implementation, management, monitoring, and regulation of projects relating to new tourism services and activities,

(13) Other functions relating to development projects and programs.

h.

Basic and Secondary Education

(1) Formulation, implementation, monitoring, evaluation, and regulation of policies, laws, standards, and plans relating to early childhood development and education, basic education, parent education, non-formal education, open and alternative continuing learning, community learning, and special education,

(2) Establishment, permission, operation, management, and regulation of community, institutional, trust, and cooperative schools,

(3) Plan formulation, operation, permission, monitoring, evaluation, and regulation of technical education and vocational training,

(4) Permission, monitoring, and regulation of schools providing education in mother tongue,

(5) Property management of merged or closed schools,

(6) Formation and management of Village and Municipal Education Committees,

(7) Formation and management of School Management Committees,

(8) Naming of schools,

(9) Ownership of community school land, property records, protection, and management,

(10) Quality enhancement and distribution of educational materials in schools,

(11) Matching of sanctioned posts for teachers and staff in community schools,

(12) Mapping, permission, approval, adjustment, and regulation of schools,

(13) Educational infrastructure construction, maintenance, operation, and management of community schools,

(14) Conduct, monitoring, and management of exams for basic level,

(15) Testing and management of student learning achievement,

(16) Management of free education, student incentives, and scholarships,

(17) Permission and regulation of teaching services outside school like tuition, coaching,

(18) Preservation, promotion, and standardization of local level educational knowledge, skills, and technology,

(19) Operation and management of local libraries and reading rooms,

(20) Coordination and regulation of educational programs up to secondary level,

(21) Management of grants to community schools and their budget, maintaining account discipline of school income and expenditure, monitoring, and regulation,

(22) Teaching-learning, training and capacity development of teachers and staff,

(23) Conduct of extra-curricular activities.

i. Basic Health and Sanitation

(1) Formulation, implementation, and regulation of policies, laws, standards, and plans relating to basic health and sanitation and nutrition,

(2) Operation and promotion of basic health, reproductive health, and nutrition services,

(3) Establishment and operation of hospitals and other health institutions,

- (4) Development and management of physical infrastructure relating to health services,
- (5) Quality control and regulation of clean drinking water and food items, and regulation of air and noise pollution,
- (6) Enhancement of sanitation awareness and management of health-related waste,
- (7) Collection, reuse, treatment, disposal of health-related waste and determination and regulation of service fees thereof,
- (8) Operation of blood transfusion services and local and urban health services,
- (9) Operation, permission, monitoring, and regulation of medicine shops,
- (10) Coordination, collaboration, and partnership with private and non-governmental sectors in waste management from sanitation and health sectors,
- (11) Operation, permission, monitoring, and regulation of services relating to family planning and maternal and child welfare,
- (12) Reduction, prevention, control, and management of malnutrition in women and children.

j.

Local Market Management, Environmental Protection, and Biodiversity

- (1) Policy, law, standards, implementation, and regulation relating to local trade, demand and supply of goods, consumer rights and interests,
- (2) Market and bazaar management,
- (3) Production, supply, and export projection, price determination, and monitoring of local goods,
- (4) Infrastructure construction relating to local trade and commerce,
- (5) Monitoring and regulation of price and quality of local goods and service trade,
- (6) Registration, permission, renewal, cancellation, monitoring, and regulation of local level commercial firms,
- (7) Data system and study research of local trade,
- (8) Coordination and collaboration with private and non-governmental sectors,
- (9) Promotion, facilitation, and regulation of local trade,
- (10) Protection, promotion, and documentation of local intellectual property,
- (11) Enhancement of consumer awareness, management of targeted consumer records, and quality testing of local goods and services,
- (12) Formulation of local policies, laws, standards, plans, and their implementation, monitoring, and regulation relating to environmental protection and biodiversity,
- (13) Environmental risk reduction at the local level,
- (14) Control, monitoring, and regulation of sale and consumption of consumer goods adversely affecting public health, and environmental pollution and harmful substances at the local level,
- (15) Sanitation and solid waste management at the local level,
- (16) Adoption of low-carbon and environmentally friendly development at the local level,
- (17) Protection and promotion of green areas at the local level,
- (18) Determination and management of environmental protection areas at the local level,
- (19) Other functions relating to local market management, environmental protection, and biodiversity.

k. Local Roads, Rural Roads, Agricultural Roads, and Irrigation

- (1) Policy, law, standards, and related plan formulation, implementation, monitoring, and regulation relating to local, rural, and agricultural roads and irrigation,
- (2) Formulation, implementation, maintenance, and regulation of master plans relating to local, rural, and agricultural roads, suspension bridges, culverts, irrigation, and embankments,

- (3) Construction, operation, supervision, maintenance, upgrading, monitoring, and regulation of local level irrigation systems,
- (4) Management and regulation of transport safety,
- (5) Other functions relating to local roads, rural roads, agricultural roads.

l.

Management of Rural Assembly, Municipal Assembly, Conciliation, and Mediation

- (1) Policies, laws, and procedures relating to the Rural Assembly or Municipal Assembly,
- (2) Approval of thematic policies and strategies, periodic and annual plans, programs, and budgets at the local level,
- (3) Formation and operation of committees of the Assembly,
- (4) Formation of joint committees on matters of common concern and partnership among local levels,
- (5) Discussion and necessary directives on reports presented to the Assembly by the Executive and Judicial Committee,
- (6) Directives to the Executive for effective implementation of development plans and programs and good governance,
- (7) Regulation of matters that impose financial burden on the Rural Municipality or Municipality,
- (8) Local conciliation and mediation,
- (9) Other functions relating to management of Rural Assembly, Municipal Assembly, conciliation, and mediation.

m. Local Records Management

- (1) Formulation, implementation, monitoring, and regulation of policies, laws, standards, and plans relating to local records management,
- (2) Collection and processing of data including demographic, natural, economic, social, cultural, physical infrastructure, employment status, gross domestic product, per capita income, human development and gender empowerment index, revenue and income expenditure, and updated documentation incorporating latest technology and linkage with national and local information systems, profiles, and resource maps,
- (3) Establishment and operation of information and record centers,
- (4) Updated records including details of public property, community property, buildings, roads, shops, businesses,
- (5) Details of completed and ongoing plans within its area and updated records of assets of such plans,
- (6) Use of latest information technology in local records management,
- (7) Other functions relating to local records management.

n. Distribution of Land Ownership Certificates

- (1) Local land survey maps, plot division, mutation, registration, name transfer, and entry/cancellation,
- (2) Distribution and record management of land ownership certificates,
- (3) Records according to land classification,
- (4) Coordination and facilitation in land acquisition, compensation determination, and distribution for public purposes,
- (5) Coordination and facilitation in survey maps and land ownership determination work,
- (6) Other functions relating to distribution of land ownership certificates.

o.

Agriculture and Livestock Rearing, Agricultural Production Management, Animal Health, Cooperatives

- (1) Local policies, laws, standards, plans, implementation, monitoring, and regulation relating to agriculture and livestock rearing, agricultural production management, and animal health,
- (2) Operation, monitoring, and regulation of agriculture and livestock market information, market and bazaar infrastructure construction, small irrigation construction, training, technology extension, technical support, supply of agricultural materials, and farmer capacity development programs,
- (3) Control of natural disasters and epidemic diseases related to agriculture and livestock,
- (4) Management of veterinary services,
- (5) Protection and promotion of agricultural environment conservation and biodiversity,
- (6) Development and management of animal breed improvement systems,
- (7) Promotion, development, and marketing of high-value agricultural products,
- (8) Development and management of local grazing lands and meadows,
- (9) Regulation of the quality of animal feed,
- (10) Management of livestock-related data and information systems at the local level,
- (11) Management and regulation of animal slaughterhouses and cold storage,
- (12) Facilitation of insurance and loans related to livestock,
- (13) Other functions relating to animal husbandry and animal health.

p. Management of Senior Citizens, Persons with Disabilities, and Incapacitated Persons

- (1) Implementation, operation, and management of social security programs, subject to federal and provincial law,
- (2) Updating records, distribution of identity cards, management and distribution of social security and facilities for senior citizens, persons with disabilities, and helpless persons,
- (3) Operation and management of senior citizens' clubs, day service centers, meeting places, shelter centers,
- (4) Operation and management of disability rehabilitation centers, senior citizens' centers, and disabled care centers in coordination with the federal and provincial governments,
- (5) Operation, management, monitoring, and regulation of rehabilitation centers for street children, orphans, helpless, disabled, and mentally unbalanced persons,
- (6) Other functions relating to management of senior citizens, persons with disabilities, and incapacitated persons.

q. Collection of Unemployment Statistics

- (1) Collection, processing of data on employed and unemployed labor force, and establishment of information systems,
- (2) Record collection and information management of domestic and foreign workers at the local level,
- (3) Data collection and management of skilled human resources in various sectors and subjects,
- (4) Collection and management of information and data on safe foreign employment and labor force in foreign employment,
- (5) Management and operation of employment information centers,
- (6) Conduct of financial literacy and skill-based training for labor force going for foreign employment,
- (7) Social reintegration of persons returning from foreign employment,
- (8) Utilization of knowledge, skills, and entrepreneurship gained from foreign employment,
- (9) Other functions relating to collection of unemployment statistics.

r.

Management, Operation, and Control of Agricultural Extension

- (1) Local policies, laws, standards, plans, implementation, monitoring, and regulation relating to agricultural

extension,

- (2) Projection, management, and mobilization of agricultural extension and manpower,
- (3) Capacity building, technical services, support, skill development, and empowerment of farmers,
- (4) Supply, use, and regulation of seeds, breeds, fertilizers, chemicals, and medicines for agriculture,
- (5) Coordination, management, and regulation of farmer groups, agricultural cooperatives, and local associations and organizations related to agriculture,
- (6) Preservation and transfer of agricultural technology at the local level,
- (7) Dissemination of agricultural information,
- (8) Development and management of resource centers at the local level,
- (9) Promotion and dissemination of organic farming and manure,
- (10) Other functions relating to management, operation, and control of agricultural extension.

s. Drinking Water, Small

(6) The Federation or a Province may, in accordance with the Constitution and prevailing law, enact a law to assign any subject within its jurisdiction to a Rural Municipality or a Municipality.

(7) While exercising the functions, duties, and rights pursuant to sub-sections (1), (3), (4), and (5), a Rural Municipality or a Municipality may, as necessary, formulate and implement laws, policies, plans, standards, and procedures.

(8) A local level may establish a sister relationship with any local government of a foreign country upon obtaining prior approval of the Government of Nepal in consultation with the Provincial Government. 12. Functions, Duties, and Rights of Ward Committee: (1) The functions, duties, and rights of a Ward Committee shall be as prescribed by the Executive.

(2) While prescribing the functions, duties, and rights of the Ward Committee pursuant to sub-section (1), the Executive must prescribe at least the following:

(a) Planning, implementation, and monitoring of plans within the ward:

- (1) Adopting the planning process from settlement or tole level according to the participatory planning system to collect, prioritize, and select demands for settlement and tole level plans,
- (2) Forming and mobilizing tole development organizations and forming consumer committees for plans to be operated within the ward and monitoring thereof,
- (3) Preserving, maintaining, supervising, and managing plans and physical infrastructure within the ward,

(b) Updating and preservation of statistics:

- (1) Maintaining records of private houses and households,
- (2) Maintaining records and preserving heritage of historical, archaeological, cultural, and religious importance, ancient monuments, public and community buildings, public, fallow, and barren land,
- (3) Collecting statistics of open areas, chowks, ghats, pati, pa

uwa, sattal, dharamshala, religious and cultural sites, hills and slopes, grazing lands, water springs, ponds, lakes, wells, kuwa, dhara, stone spouts, guthi houses, paths, roads, bridges and culverts, canals and irrigation channels, water mills, updating records, preserving, and preparing and updating the ward profile with disaggregated statistics and information,

(c) Development works:

- (1) Arranging for children's parks,

- (2) Operating and managing informal education programs, child care, and early childhood development centers,
- (3) Operating and managing libraries, reading rooms, community learning centers, children's clubs, and children's networks,
- (4) Managing health institutions and services at the ward level,
- (5) Operating, managing, and coordinating vaccination service programs,
- (6) Operating and coordinating nutrition programs,
- (7) Conducting health awareness development and health information programs at the ward level,
- (8) Operating urban and rural health clinics, or causing them to be operated,
- (9) Constructing and managing public toilets, bathing rooms, and waiting halls, or causing them to be constructed,
- (10) Managing ward-level community water taps, constructing, preserving, and regulating the quality of wells, kuwa, and ponds,
- (11) Collecting and managing household waste, cleaning chowks and alleys, draining sewage, managing dead animals, draining surface water, and protecting water sources, or causing these to be done,
- (12) Establishing, coordinating, and promoting agricultural and fruit nurseries, and orienting ward-level lead farmer training,
- (13) Collecting demands for agricultural seeds, fertilizers, and medicines,
- (14) Collecting details of agricultural diseases,
- (15) Livestock and poultry development and management of stray cattle,
- (16) Preserving and managing grazing lands within the ward,
- (17) Conducting or causing to be conducted arts, drama, awareness, and cultural programs for the development of local community festivals, languages, and cultures,
- (18) Preserving and promoting cultural practices reflecting local distinctiveness,
- (19) Developing sports infrastructure within the ward,
- (20) Conducting or causing to be conducted sports programs through inter-school and club channels,
- (21) Maintaining roads and paths within the ward area in usable condition and assisting in maintaining them,
- (22) Preventing obstruction and encroachment

on road rights-of-way within the ward,

- (23) Clearing obstructions on roads and paths caused by floods, landslides, storms, and natural disasters,
- (24) Collecting records of cottage industries and identifying potential,
- (25) Promoting cottage industries within the ward,
- (26) Registering, updating, and collecting and preserving records of personal incidents in accordance with prevailing law,
- (27) Conducting awareness programs on personal incident registration,
- (28) Distributing social security allowances and updating records,
- (29) Making the ward child-friendly,
- (30) Keeping records of economically and socially disadvantaged women, children, Dalits, persons with disabilities, senior citizens, minorities, and marginalized communities within the ward and carrying out work related to their social and economic upliftment,
- (31) Maintaining social harmony and amity among various communities,
- (32) Ending or causing to be ended social evils and superstitions such as child marriage, polygamy, gender-based violence, untouchability, dowry and daijo, Haliya practice, Chaupadi, Kamlari practice, child labor, and human trafficking,

- (33) Subject to prevailing law, accounting and collecting land revenue and land tax, business tax, rental tax, advertisement tax, paid parking, new business registration, recommendation fee, vehicle tax, entertainment tax, and submitting the amount with a report to the concerned Rural Municipality or Municipality,
- (34) Taking an unattended or helpless person who is sick or disabled to the nearest hospital or health center for treatment,
- (35) Arranging for the cremation of an unattended or helpless person upon their death,
- (36) Collecting records for the rescue and rehabilitation of street children,
- (37) Preserving and promoting community forests, forest heritage, and biodiversity within the ward,
- (38) Expanding or causing to be expanded green areas at ward, tole, and settlement levels,
- (39) Making the ward environmentally friendly,
- (40) Conducting or causing to be conducted promotional activities such as organic farming, safe motherhood, student enrollment, full vaccination, open defecation free sanitation, environmentally friendly and child-friendly governance,
- (41) Promoting home stay programs within the ward.

(d) Regulatory works:

- (1) Monitoring and regulating development plans, projects, and the works of associated consumer committees operating within the ward,
- (2) Providing training to carpenters and masons on earthquake-resistant building construction,
- (3) Monitoring the quality and price list of food grains, fish, meat, vegetables, fruits, beverages, and consumables to protect consumer interests,
- (4) Promoting industries, trades, and businesses within the ward and keeping records,
- (5) Managing or causing to be managed weekly markets,
- (6) Assisting in controlling electricity leakage and theft.

(e) Recommendation and certification:

- (1) Certifying relationship,
- (2) Recommending for citizenship and copy of citizenship,
- (3) Recommending the account of rental tax,
- (4) Attending as a witness for opening sealed houses and rooms,
- (5) Recommending the removal of tenant records,
- (6) Recommending the account of house and land tax,
- (7) Certifying date of birth,
- (8) Recommending that a trade or business has been closed, is not operating, or never existed,
- (9) Certifying marriage and certifying unmarried status,
- (10) Recommending for free or paid medical treatment,
- (11) Recommending and certifying recommendations and other documents issued by the ward in the English language as well,
- (12) Certifying house particulars,
- (13) Certifying personal details,
- (14) Recommending for recording a house on the land ownership certificate,
- (15) If a person's name, surname, date of birth, and domicile are different, recommending that the person is the same,
- (16) Recommending correction of name, surname, date of birth,

- (17) Recommending for loss of land ownership certificate,
- (18) Recommending for subdivision of plots,
- (19) Certifying guardianship and recommending institutional and personal guardians,
- (20) Certifying relationship with living persons,
- (21) Certifying relationship with deceased persons and recommending site inspection,
- (22) Recommending that a person is alive,
- (23) Certifying legal heir or claimant,
- (24) Recommending for name transfer,
- (25) Recommending regarding land rights,
- (26) Recommending for relocation of industry,
- (27) Recommending for opening a basic school,
- (28) Recommending land valuation,
- (29) Recommending for adding grades to a school,
- (30) Recommending for the sustenance of disabled, helpless, and orphaned persons,
- (31) Recommending for marital naturalized citizenship,
- (32) Recommending regarding poor or affluent economic status,
- (33) Recommending for relocation of school,
- (34) Recommending for water tap and electricity connection,
- (35) Other recommendations or certifications as per delegated authority in accordance with prevailing law.

(3) Until the functions, duties, and rights of the Ward Committee are prescribed by the Executive pursuant to sub-section (1), the Ward Committee shall exercise the functions, duties, and rights pursuant to sub-section (2).

(4) Work done by the ward shall be carried out in the name of the Ward Office. 13.

Fixing Minimum Rates: (1) A Rural Municipality and a Municipality shall fix the local minimum rates of construction materials, wages, fares, and fees for the purpose of construction works and other services within their area. (2) While fixing the wage rate for laborers pursuant to sub-section (1), it shall be fixed at not less than the national minimum remuneration fixed by the Government of Nepal. (3) The rate pursuant to sub-section (1) shall be fixed within fifteen days prior to the start of each fiscal year. 14. **Formation of Committee, Sub-Committee or Task Force:** (1) The Executive may, as necessary to organize its work proceedings, form a committee or sub-committee under the convenership of a member. (2) A Rural Municipality and a Municipality may form a task force under the convenership of a member or subject expert in fields requiring subject expertise. (3) The scope of work, procedure, and other matters of the committee, sub-committee, or task force formed pursuant to sub-section (1) or (2) shall be as prescribed at the time of forming such committee, sub-committee, or task force. 15. **Mobilization and Coordination:** A Rural Municipality and a Municipality may encourage the mobilization and coordination promotion of consumers, the private sector, community organizations, cooperative societies, and non-governmental organizations within its area while carrying out development, construction, and service delivery works at the local level. 16.

Work Distribution and Performance: (1) Provisions relating to work distribution and performance of the Executive shall be in accordance with the regulations approved by the concerned Executive. (2) The work distribution regulations pursuant to sub-section (1) must include the functions, duties, and rights of the Chairperson or Chief, Vice-Chairperson or Deputy Chief, Ward Chairpersons, and Members. (3) The work distribution and performance regulations pursuant to sub-section (1) shall be sent to the Province and the Government of Nepal within fifteen days from the date of approval or amendment. (4) Until the work

distribution or functions, duties, and rights of the office bearer are prescribed by the regulations pursuant to sub-section (1), his/her functions, duties, and rights shall be as follows: (a) Functions, duties, and rights of Chairperson or Chief: The functions, duties, and rights of the Chairperson or Chief shall be as follows: (1) Convening and presiding over the meetings of the Assembly and the Executive, (2) Presenting or causing to be presented the agenda and proposals at meetings of the Assembly and the Executive, (3) Preparing and causing to be presented the annual program and budget to the Assembly, (4) Summoning and proroguing sessions of the Assembly, (5) Implementing or causing to be implemented the decisions of the Assembly and the Executive, (6) General supervision, direction, and control of the daily work of the Executive, (7) Deputing the Vice-Chairperson or Deputy Chief, members of the Executive, and the Chief Administrative Officer on official duty, (8) Except for the subjects of recommendation and certification to be done by the Ward Committee pursuant to clause (e) of Section 12, certifying or recommending matters required to be done by the local level in accordance with prevailing Nepali law, (9) Caring for and maintaining movable and immovable property of the Rural Municipality or Municipality, and keeping or causing to be kept safe custody of income, expenditure, accounts, and other documents, (10) Supervising the work of the Rural Municipality or Municipality committees, sub-committees, and Ward Committees, (11) Managing or causing to be managed complaints related to public service delivery, (12) If absent from the Rural Municipality or Municipality for more than seven days, entrusting work to the Vice-Chairperson or Deputy Chief, and if the Vice-Chairperson or Deputy Chief is also absent, entrusting work to a member, (13) Performing other functions prescribed by the Assembly or the Executive. (b) Functions, duties, and rights of Vice-Chairperson or Deputy Chief: The functions, duties, and rights of the Vice-Chairperson or Deputy Chief shall be as follows: (1) Acting as the convener of the Judicial Committee, (2) Assuming the work of the Chairperson or Chief in his/her absence, (3) Coordinating the activities of non-governmental organizations, (4) Coordinating work related to consumer interest protection, (5) Monitoring and supervising plans and programs and presenting reports thereof to the meeting, (6) Facilitating and coordinating the work of committees formed by the Assembly and the Executive, (7) If absent from the Rural Municipality or Municipality for more than seven days, informing the Chairperson or Chief, (8) Performing other functions delegated or assigned by the Assembly, the Executive, or the Chairperson or Chief. (c) Functions, duties, and rights of Ward Chairperson: The functions, duties, and rights of the Ward Chairperson shall be as follows: (1) Acting as the Chairperson of the Ward Committee, (2) Coordinating and facilitating the work of members of the Ward Committee, (3) Preparing or causing to be prepared the development plan, budget, and program of the ward, and submitting them to the Rural Municipality or Municipality for approval, (4) Implementing or causing to be implemented plans and programs to be executed by the ward, and monitoring and periodically reviewing them, (5) Performing recommendation and certification works on the subjects mentioned in clause (e) of Section 12, (6) If absent from the ward for more than seven days, assigning responsibility to a member of the concerned Ward Committee to perform daily administrative and recommendation works of the ward, and informing the Chairperson or Chief thereof, (7) Performing other functions prescribed by the Executive, Assembly, or Ward Committee. (d) Functions, duties, and rights of a member of the Executive: The functions, duties, and rights of a member of the Executive shall be as follows: (1) Participating in meetings of the Executive, (2) Acting as the coordinator or head of the thematic area assigned by the Chairperson or Chief and performing the assigned work, (3) If absent from the Rural Municipality or Municipality for more than seven days, informing the Chairperson or Chief, (4) Performing other functions prescribed by the Executive.

17. Meetings and Decisions: (1) A meeting of the Executive shall be held at least once a month.

(2) In a meeting of the Executive, if more than fifty percent of the number of members currently holding office in the Executive are present, the quorum shall be deemed to be constituted.

(3) Decisions at the meeting of the Executive shall be made by consensus.

(4) If a decision cannot be reached by consensus pursuant to sub-section (3), the decision made by a majority of the number of members currently holding office in the Executive shall be the decision of the Executive.

(5) Other provisions relating to meetings and decisions of the Executive shall be in accordance with the regulations made pursuant to Article 218 of the Constitution. 18. Delegation of Power: (1) The Executive may delegate some of the powers vested in it to the Chairperson or Chief, Vice-Chairperson or Deputy Chief, member of the Ward Committee, a committee or sub-committee under it, or the Chief Administrative Officer or an officer employee.

(2) The Chairperson or Vice-Chairperson, or the Chief or Deputy Chief may delegate some of the powers vested in him/her to a member or employee.

(3) The Ward Committee or Ward Chairperson may delegate some of the powers vested in it/him/her to a member or employee of the Ward Committee. Chapter-4

Meeting and Working Procedure of the Assembly

19.

Meeting of the Assembly: (1) The meeting of the Assembly shall generally be held twice a year. (2) The meeting of the Assembly shall be convened by the Chairperson or Chief. (3) If one-third of the members of the Assembly make a written request to the Chairperson or Chief stating that it is necessary to convene a meeting of the Assembly, specifying the subject or reason, the Chairperson or Chief shall convene a special meeting of the Assembly within fifteen days. (4) The Chief Administrative Officer shall, under the direction of the Chairperson or Chief, send a notice with the date, time, place, and agenda of the meeting to all members of the Assembly at least seven days before the day of the meeting. (5) If more than fifty percent of the total number of members currently holding office in the Assembly are present, the quorum for the meeting of the Assembly shall be deemed to be constituted. (6) The Chairperson or Chief shall preside over the meeting of the Assembly, and in his/her absence, the Vice-Chairperson or Deputy Chief. (7) The decision of the majority shall be valid in the meeting of the Assembly, and if the votes are equal, the person presiding over the meeting of the Assembly shall have a casting vote. (8) The decision of the meeting of the Assembly shall be certified by the person presiding over the Assembly. (9) The Chief Administrative Officer shall act as the secretary of the Assembly. (10) Other procedures relating to the meeting of the Assembly shall be as determined by the Assembly itself. (11) The provisions contained in this section shall apply only so long as the Provincial Law does not otherwise provide in relation to the meeting of the Assembly. Chapter-5 Procedure Relating to Management of the Assembly 20. Method of Introducing a Bill in the Assembly: (1) The Executive may introduce a Bill in the Assembly on a subject within the jurisdiction of the Rural Municipality or Municipality. Explanation: For the purpose of this section, "Bill" means a draft of an Act submitted to the Assembly. (2) In matters relating to the management of the Assembly, the procedure according to this Chapter shall be followed unless otherwise provided in the Provincial Law. 21. Method of Passing and Certifying a Bill: (1) If a Bill introduced pursuant to Section 20 is passed by a majority of the number of members currently holding office in the Assembly, the Speaker of the Assembly shall certify such Bill within fifteen days. (2) A Bill certified pursuant to sub-section (1) shall become an Act. 22.

23. To be in Accordance with Rules of Procedure: Other matters relating to the management procedure of the Assembly shall be in accordance with the Rules of Procedure made by the Assembly. Chapter-6

Planning and Implementation

24. Formulating and Implementing Plan: (1) A Rural Municipality and a Municipality shall formulate and implement periodic, annual, strategic, thematic mid-term, and long-term development plans for local level development on subjects within its jurisdiction.
- (2) While formulating plans pursuant to sub-section (1), attention must be paid to interrelated subjects such as good governance, environment, child-friendliness, climate change adaptation, disaster management, gender and social inclusion in a manner consistent with the policies, goals, objectives, timelines, and procedures of the Government of Nepal and the Provincial Government.
- (3) While formulating plans pursuant to sub-section (1), a Rural Municipality and a Municipality must give priority to the following subjects:
- (a) Direct contribution to economic development and poverty alleviation,
 - (b) Productive and capable of obtaining quick returns,
 - (c) Improvement in the standard of living, income, and employment of the people,
 - (d) Ensuring participation of local residents, possibility of mobilizing voluntary service, and low cost,
 - (e) Maximum utilization of local resources, means, and skills,
 - (f) Direct benefit to women, children, backward classes, areas, and communities,
 - (g) Enhancement of gender equality and social inclusion,
 - (h) Contribution to sustainable development, environmental protection, and promotion,
 - (i) Contribution to the preservation of linguistic and cultural aspects and enhancement of social harmony and unity.
- (4) While formulating plans pursuant to sub-section (1), a Rural Municipality and a Municipality shall also prepare a list of projects of medium and long-term nature.
- (5) While formulating and implementing plans, a Rural Municipality and a Municipality shall do so with maximum participation of stakeholders including local intellectuals, subject experts, experienced persons, professionals, marginalized and endangered communities, women, children, Dalits, youth, minorities, persons with disabilities, senior citizens, and others.
- (6) While formulating plans, a Rural Municipality and a Municipality shall also prepare resource forecasting, prioritization of projects, plan implementation schedule, and monitoring and evaluation plan based on feasibility study of the plan.
- (7) In cases where the Government of Nepal or the Provincial Government provides grants for special programs and prescribes procedures for implementation, the Rural Municipality or Municipality shall implement such program in accordance with the same procedure.
- (8) A Rural Municipality and a Municipality may operate and manage any plan in joint investment with the Government of Nepal or the Provincial Government, or in public-private partnership.
- (9) A Rural Municipality and a Municipality must coordinate, facilitate, and assist in the implementation of federal and provincial level projects.
- (10) A Rural Municipality and a Municipality may carry out necessary studies, research, and impact evaluation of local level development projects.
25. Work to be Done in Coordination: (1) Non-governmental organizations, consumer committees, cooperative societies, and other social and community organizations must work in coordination with the local level. Provided that, if any international non-governmental organization works in coordination with the local level, it must have obtained prior approval of the Government of Nepal for such work.
- (2) While coordinating with the local level pursuant to sub-section (1), the following must be done:
- (a) Conduct any study, survey, or program based on an agreement with the local level,
 - (b) Include its annual plan, program, and budget in the annual plan, program, and budget of the local level,

(c) Adopt the joint monitoring and progress reporting system prescribed by the local level.

(3) If any organization works contrary to this section, the local level may prohibit the implementation of such work or action.

(4) Other provisions relating to coordination shall be in accordance with local law. 26. Work may be Done in Partnership or Joint Management: A Rural Municipality and a Municipality may, while conducting its work, engage in partnership, agreement, or joint management with other Rural Municipalities or Municipalities for the following matters for cost reduction, maximum utilization of resources, or effective service delivery:

(a) Large infrastructure construction, purchase and management of heavy machinery and equipment,

(b) Disaster management,

(c) Operation and management of transport,

(d) Development and operation of waste disposal sites or treatment systems,

(e) Operation of fire brigade and ambulance services,

(f) Settlement development and land use planning,

(g) Promotion and development of tourism, technology, and culture,

(h) Joint ventures,

(i) Operation, promotion, and development of technical education at basic and secondary levels,

(j) Inter-local level sister relations,

(k) Exchange of good practices and experiences,

(l) Physical and financial assistance,

(m) Other appropriate subjects. Chapter-7

Provisions Relating to Building Construction and Roads

27. Building Construction Prohibited Without Map Approval: (1) No person shall construct a building without map approval from the Rural Municipality or Municipality. Provided that, in the case of areas and structures prescribed by the Rural Municipality or Municipality, there shall be no bar to constructing a building without map approval.

Explanation: For the purpose of this section, "building construction" means constructing a new building, demolishing and rebuilding an old building, adding floors, altering the facade, or making additions or alterations to existing structures to create windows, doors, balconies, eaves, porches, sheds, stables, or garages, or erecting compound walls, and the term also includes a building constructed for joint housing. (2) A Rural Municipality and a Municipality shall prescribe standards relating to land use based on geo-hazard sensitivity and may grant permission for building construction only in the prescribed area subject to such standards. (3) Subdivision or plotting of land for buildings without prior approval of the Rural Municipality or Municipality shall not be permitted. (4) A Rural Municipality and a Municipality may classify buildings within its area and order the reconstruction, retrofitting, or demolition of buildings that are risky from the perspective of earthquake or disaster. (5) A Rural Municipality and a Municipality may, in a manner not contrary to prevailing law and standards prescribed by the Government of Nepal, prescribe standards for building construction in any settlement or any area thereof that is historically, culturally, touristically, or archaeologically significant, reflecting height, set-back, roof, facade, type of construction material, color, or artistry of the building. (6) A Rural Municipality and a Municipality may, for all or part of its area, prescribe standard sample maps of uniform design based on the nature, type, and area of land and building for buildings to be constructed in such area, and may provide free of charge maps prepared by its technical staff for service seekers. 28. Application Required for Permission: (1) Any person or government office wishing to construct a building in the Rural Municipality or Municipality area shall submit an application, along with the building map, in the

format prescribed by the Rural Municipality or Municipality, to the Rural Municipality or Municipality for permission to construct the building.

Explanation: For the purpose of this Chapter, "government office" means all government offices and courts including the Office of the President and Vice-President, the Supreme Court, the Federal Parliament, the Provincial Assembly, constitutional bodies, the Nepali Army, the Armed Police Force, Nepal, the Nepal Police, the Provincial Police.

(2) Notwithstanding anything contained in sub-section (1), if any government body is unable to submit building plans for reasons of national security while applying for permission to construct a building, such application may only mention the length, width, height, number of floors, and total area of the building.

Explanation: For the purpose of this Chapter, "map" means drawings, descriptions, and other documents relating to building construction.

29. Matters to be Shown in Map: In a map for constructing a new building, in addition to other matters, a separate toilet and soak pit for such building shall be shown, and if such building is to be adjoined with another building, a separate partition wall for such building shall be shown in the map.

30. Title Deed or Consent Instrument to be Submitted: When applying for permission to construct a building pursuant to Section 28, if the building is to be constructed on land under one's own ownership, a title deed shall be submitted; if on land owned by another, the title deed of such person along with the consent instrument shall also be submitted. Provided that, for the purpose of map approval, no land owned by another may be taken on lease or rent to fulfill the required standards.

31. Inspection to be Done: Within seven days of receipt of an application for permission to construct a building pursuant to Section 28, the Chief Administrative Officer shall inspect whether the application is in due form, and if any formality is incomplete, cause it to be completed, and upon receipt of an application in due form, shall do the following:

(a) If the construction of such building is likely to cause hardship to any neighbor, post a notice in a conspicuous manner at his/her office, the neighbor's house, and the construction site, inviting complaints within fifteen days specifying details of the hardship,

(b) Within three days after the expiry of the period mentioned in clause (a), depute an engineer or sub-engineer and other employees jointly to inspect whether the building can be constructed as stated in the application or not.

32.

Report to be Submitted: The employees deputed pursuant to clause (b) of Section 31 shall conduct a site inspection to determine whether the building can be constructed according to the standards for settlement development, urban planning, and building construction prescribed by the Government of Nepal, prepare a site inspection memorandum including statements of persons present at the site, and submit a report to the Rural Municipality or Municipality within fifteen days from the date of being deputed for inspection, stating whether the building can be constructed as mentioned in the application or not.

33. Permission to be Granted:

(1) If no complaint is received pursuant to clause (a) of Section 31, the Chief Administrative Officer shall grant permission to construct the building within seven days from the date of receipt of the report pursuant to Section 32.

(2) Except in cases where a decision on rights and claims is required upon receipt of a complaint pursuant to clause (a) of Section 31, the Chief Administrative Officer shall grant permission for building construction within thirty days from the date of receipt of the report pursuant to Section 32.

(3) If, from a complaint received pursuant to clause (a) of Section 31, it appears necessary to decide on rights and claims regarding the land for building construction, a notice shall be issued within thirty-five days from the date of such complaint, directing the relevant parties to file a complaint with the concerned District Court. Provided that, if only a part of such land is disputed, and the person submits an application with another map agreeing that the disputed portion shall be subject to the court's decision while the remaining land may be used for construction, the Chief Administrative Officer may grant permission within fifteen days from the date of receipt

of such application. (4) The fee chargeable for granting permission for building construction pursuant to this section shall be as prescribed by the Rural Municipality or Municipality. 34. Map Approval: (1) When the Chief Administrative Officer grants permission to construct a building pursuant to Section 33, he/she shall also approve the map of such building. (2) While approving the map of a building pursuant to sub-section (1), the Chief Administrative Officer may make necessary additions or alterations to the map to conform to the physical development plan and standards determined in accordance with prevailing law. 35.

Alteration in Map: If it is necessary to make some alterations later in a map approved pursuant to Section 34, the Chief Administrative Officer may grant permission for alterations in the map for matters other than adding floors, changing the facade, or increasing length and width, provided that such alterations do not adversely affect the standards determined in accordance with prevailing law. Provided that, for works such as adding floors, changing the facade, or increasing length and width, a revised map conforming to the prescribed standards may be submitted and approved upon payment of additional fees prescribed by the Rural Municipality or Municipality. 36. Notice to be Given: Notwithstanding anything contained in this Chapter, if it is not feasible to grant permission for building construction based on the report received pursuant to Section 32 or for any other reason, the Chief Administrative Officer shall, within seven days from the date of receipt of such report, give notice stating the reasons to the person or government body that applied for permission to construct the building pursuant to Section 28. 37. Complaint may be Filed: (1) If permission is not obtained within the period under Section 33, from the date of expiry of such period, or if dissatisfied with the notice given under Section 36, within thirty-five days from the date of receipt of such notice, the person or body that applied for permission to construct the building pursuant to Section 28 may file a complaint with the Chairperson or Chief. (2) If any complaint is filed pursuant to sub-section (1), the Chairperson or Chief shall investigate the matter and, if it appears that permission for building construction should be granted, direct the Chief Administrative Officer to grant permission as soon as possible. 38. Period for Building Construction: (1) The person or government office that has obtained permission to construct a building must construct such building within two years from the date of obtaining such permission. (2) If the building cannot be constructed within the period pursuant to sub-section (1), an application for extension of time must be submitted to the Chief Administrative Officer before the expiry of such period, stating the reasons. (3) Upon receipt of any application pursuant to sub-section (2), the Chief Administrative Officer may, upon payment of a fee of five percent of the previously paid fee, extend the period for building construction for two years. 39.

Inspection and Action: (1) The Chief Administrative Officer may depute an engineer, sub-engineer, or employee to inspect the following matters in relation to any building that has been constructed or is being constructed in the Rural Municipality or Municipality area: (a) Whether permission for constructing such building has been obtained in accordance with standards approved by the Government of Nepal, (b) Whether such building has been or is being constructed according to the map approved in accordance with standards approved by the Government of Nepal, and (c) Whether such building has encroached upon public land, roads, canals, temples, chowks, drains, sewers, ponds, etc. (2) The person constructing the building and all persons related to the building construction work shall answer questions asked by the person coming for inspection pursuant to sub-section (1), provide or show documents requested, and provide necessary assistance. (3) The employee deputed for inspection pursuant to sub-section (1) shall conduct necessary inspection regarding such building construction within fifteen days from the date of being so deputed and submit a report with recommendations to the Chief Administrative Officer. The Chief Administrative Officer shall submit such report to the Chairperson or Chief within seven days. (4) If, according to the report submitted pursuant to sub-section (2), any person is found to have constructed or is constructing a building contrary to sub-section (1), the Chairperson or Chief shall order the demolition of such building or any part

thereof. (5) If, according to the report submitted pursuant to sub-section (2), any person is found to have constructed or is constructing a building without map approval under this Act or by altering the approved map without approval, the Chairperson or Chief shall impose a fine of up to five hundred thousand rupees for building without map approval, and up to two hundred thousand rupees for building by altering the approved map without approval, and order the demolition of such building or any part thereof. (6) Before issuing an order pursuant to sub-section (4) or (5), the Chairperson or Chief shall give the person constructing such building a reasonable opportunity to present his/her defense. 40. Appeal: A person dissatisfied with the order given by the Chairperson or Chief pursuant to sub-section (4) or (5) of Section 39 may file an appeal in the District Court within thirty-five days from the date of receipt of notice of such order, and the decision made by the District Court in relation to such appeal shall be final. 41.

Demolition of Building, Structure and Recovery of Incurred Expenses: (1) If an order is given to demolish a building, structure, or any part thereof pursuant to sub-section (4) or (5) of Section 39, the concerned person must demolish such building, structure, or any part thereof in accordance with the order of the Chairperson or Chief or the decision of the District Court within thirty-five days from the date of the decision of the District Court confirming the demolition order if an appeal has been filed under Section 40, or within thirty-five days from the expiry of the appeal period if no appeal is filed. (2) If the concerned person fails to demolish such building, structure, or any part thereof within the period pursuant to sub-section (1), the Rural Municipality or Municipality itself shall demolish such building, structure, or any part thereof, and the expenses incurred in such demolition shall be recovered from the concerned person. 42. Special Provision Relating to Map Approval: (1) Notwithstanding anything else contained in this Chapter, in the case of buildings that required map approval under the law in force immediately before the commencement of this Act but were constructed without map approval or by altering the approved map without approval, if building construction standards and codes have been complied with, the Municipality may, once after the commencement of this Act, make the following provision to approve the map or grant permission for alteration in the approved map: (a) Publish a public notice giving a period of thirty-five days for the concerned person to submit an application with evidence, (b) If an application is received within the period mentioned in clause (a), conduct a technical site inspection and inquire with neighbors and adjacent persons to ascertain whether building construction standards and codes have been complied with, (c) If it is ascertained that building construction standards and codes have been complied with, charge three times the fee currently payable for map approval or alteration of approved map. (2) Notwithstanding anything contained in sub-section (1), the provision shall not apply to apartments, housing, hotels, and other commercial buildings. 43. National Building Code to be Followed and Enforced: (1) While approving a building map pursuant to Section 27, a Rural Municipality and a Municipality shall follow and enforce the National Building Code as determined by the Government of Nepal. (2) A Rural Municipality and a Municipality may, subject to the National Building Code pursuant to sub-section (1), formulate and implement additional standards. 44.

National and Provincial Standards to be Adopted: (1) While constructing, operating, or managing roads, physical infrastructure, integrated settlement development and urban planning, land use planning, consumable services, social services, and infrastructure, a Rural Municipality and a Municipality shall adopt the national and provincial standards prescribed by the Government of (6) In a dispute brought before the Judicial Committee, if the plaintiff files a petition to freeze the account, deposit, or any amount receivable by the defendant in the name of the defendant at any bank, company, financial institution, or other entity, or to prevent the transfer of any immovable property in the possession or ownership of the defendant to anyone by any means, the Judicial Committee may, if it deems appropriate based on a preliminary inquiry, set a period and send a letter to the concerned body for freezing. Upon receipt of such a letter, the concerned body shall

freeze accordingly and inform the Judicial Committee thereof. (7) If, following a freeze under sub-section (6), the defendant files a petition before the Judicial Committee for the release of such freeze, the Committee may, if it considers it appropriate to release the freeze as per the petition, send a letter to the concerned body for the release. Upon receipt of such a letter, the concerned body shall release the freeze accordingly and inform the Judicial Committee thereof. (8) While exercising its jurisdiction pursuant to Section 47, the Judicial Committee may, in disputes between spouses or concerning the protection of senior citizens, also issue the following interim protective orders to the concerned party for the benefit of the victim, their minor child, or any other person dependent on them: - (a) To allow the victim to reside in the house they have been living in, to provide food and clothing, to refrain from beating, and to behave with decency and civility, (b) To provide treatment if the victim has suffered physical or mental injury, (c) To make arrangements for separate residence if deemed necessary, and to make appropriate provisions for the victim's maintenance while living separately, (d) To refrain from, and cause others to refrain from, acts of abusing, threatening, or behaving uncivilly towards the victim, (e) To do or cause to be done any other necessary and appropriate act for the interest and safety of the victim. (9) If any petition is filed in the Judicial Committee concerning a dispute under Section 47, if a deadline is specified under prevailing law for the defendant to appear before the adjudicating body, the defendant must appear before the Judicial Committee, either in person or through their representative, with a written statement within that same deadline.

If no such deadline is specified, the defendant must appear within fifteen days, excluding travel time.

(10) In disputes under Section 47, the Judicial Committee may establish a Mediation Center in each ward for the purpose of facilitating mediation.

(11) If there is more than one Mediation Center in a ward, the Judicial Committee may refer the dispute to a Mediation Center chosen by the parties to the dispute, or, if there is no agreement between the parties on the matter, to any Mediation Center in that ward for resolution by a mediator.

(12) When processing and adjudicating a dispute petition, the Judicial Committee shall follow the procedures for registration of petitions, necessary inquiry and processing of such disputes, service of notice, procedures for summoning parties and facilitating settlement, the period within which the dispute must be resolved, case disposal, and other dispute resolution procedures in accordance with local law. 50. To Provide Written Information: Within thirty-five days from the date of the final decision of a dispute by the Judicial Committee, a certified copy of the decision must be provided to the concerned party. 51. May Appeal: A party dissatisfied with a decision made by the Judicial Committee may appeal to the concerned District Court within thirty-five days from the date of receipt of information about the decision. 52. To Implement Settlement or Decision: (1) The Executive shall immediately implement or cause to be implemented the settlement or decision made by the Judicial Committee.

(2) Other provisions related to the implementation of settlements or decisions made by the Judicial Committee shall be in accordance with local law. 53. To Maintain Records: (1) The Rural Municipality and Municipality shall maintain organized and secure records of documents, settlements, or decisions related to disputes settled or decided by the Judicial Committee.

(2) The Judicial Committee shall submit an annual report of its work to the relevant Assembly through the Chairperson or Chief. Chapter-9

Financial Jurisdiction of Rural Municipality and Municipality

54. Not to Levy Tax, Collect Revenue, or Take Loans Except According to Law: Except as provided by law, the Rural Municipality and Municipality shall not levy any tax, collect revenue, or take loans within their

jurisdiction. 55. Integrated Property Tax and Land and Building Tax: (1) The Rural Municipality and Municipality shall levy integrated property tax or land and building tax within their jurisdiction. Provided that, from Shrawan 1, 2075 (July 17, 2018), only integrated property tax shall be levied.

Explanation: For the purpose of this section, "Integrated Property Tax" means the property tax levied by calculating in an integrated manner all houses and land owned by a person within the area of the Rural Municipality or Municipality. (2) While levying tax pursuant to sub-section (1), the following matters shall be taken as a basis: - (a) The size, type, structure, and use of the land and building, or the state of productive use of immovable property, (b) The standard of living, economic level, and ability to pay tax of the citizen, (c) The prevailing market value and depreciation value of the immovable property, (d) Other bases deemed appropriate by the Assembly. (3) The Rural Municipality or Municipality may grant exemptions on integrated property tax by setting criteria in accordance with local law. 56. Land Revenue (Malpot): The Rural Municipality and Municipality shall levy land revenue (Malpot) on land within their area based on the use of such land. Provided that land revenue (Malpot) shall not be levied where integrated property tax is imposed. 57. Land and Building Rental Tax: If any person or entity within the area of the Rural Municipality or Municipality leases out a building, house, shop, garage, warehouse, shed, thatch-roofed structure, factory, land, or pond, wholly or partially, the Rural Municipality or Municipality shall levy a rental tax on such rental amount. 58. Business Tax: The Rural Municipality and Municipality shall levy a business tax within their area based on capital investment and financial transactions in trade, business, or services. 59. Rent and Royalty Fees: The Rural Municipality and Municipality shall levy rent and royalty fees within their area for the use of markets, bazaars, or shops constructed, maintained, or operated by themselves, or structures built on government land. 60. Parking Fee: The Rural Municipality and Municipality may levy a parking fee within their area for providing parking service to any vehicle. 61. Herb, Scrap, and Animal Tax: If any person or entity within the area of the Rural Municipality or Municipality makes commercial use of wool, hide, herbs, forest grass (khar), scrap materials, or bones, horns, feathers, skins of dead or killed animals other than those prohibited by prevailing law, or items of a similar nature, the Rural Municipality and Municipality shall levy herb, scrap, and animal tax. 62.

Service Fee: (1) The Rural Municipality and Municipality shall levy a service fee on services or businesses related to local tourism, entertainment, and adventure sports, including cable cars, trekking, kayaking, canyoning, bungee jumping, zip flyer, rafting, paragliding, operating within their area. Provided that, while levying a fee on services or businesses that operate across a boundary river with another Rural Municipality or Municipality or that cover more than one Rural Municipality or Municipality, coordination must be made with the concerned Rural Municipality or Municipality. (2) The Rural Municipality and Municipality may levy a service fee on the concerned service provider and service user for the use of any of the following services provided by, or local infrastructure constructed, operated, or managed by them: - (a) Drinking water, electricity, taps, guest houses, rest houses (dharmashala), libraries, auditoriums, and similar other services and facilities, (b) Solid waste management, sanitation, drainage, street lighting, and similar services and facilities, (c) Toilets, parks, bath houses, swimming pools, gymnasiums, guest houses, tourist sites, hostels (hotels), markets, slaughterhouses, crematoria, washing ghats, and similar other facilities, (d) Roads, bus parks, drains, bridges, lights, and similar services, (e) Services related to the valuation of immovable property or any other subject, (f) Any service related to recommendations. (3) The Rural Municipality or Municipality may itself carry out the work of providing the services and facilities mentioned in sub-sections (1) and (2) or collecting the service fee leviable for the use of such services or facilities, or may cause it to be done through a management contract or the private sector. 63. Not to Levy Tax, Fee, or Charge: (1) The Rural Municipality and Municipality shall not levy tax on matters for which diplomatic missions or diplomats are exempt from tax

pursuant to prevailing law. (2) The Rural Municipality and Municipality shall not levy any kind of tax, fee, or charge on goods imported from abroad by the Government of Nepal, Provincial Government, universities, government hospitals, government-owned corporations, or development committees for projects funded by foreign loans or aid. (3) Integrated property tax shall not be leviable on the unsold stock of housing constructed under collective housing or joint housing within a period specified by the Rural Municipality or Municipality. Provided that, if such unsold stock is used in any manner, tax shall be levied on such stock. (4) Integrated property tax shall not be levied on basement areas, gardens, parking areas, and road areas designated for common use in joint housing or collective housing constructed with the approval of the Government of Nepal, Provincial Government, or the Rural Municipality or Municipality. 64.

Determination, Collection, and Sharing of Taxes within Dual Jurisdiction of Province and Rural Municipality or Municipality: (1) The rates and collection of the following taxes falling within the jurisdiction of the Province and the Rural Municipality or Municipality shall be as follows: - (a) The Province shall determine the rate and collect the vehicle tax. Provided that the Rural Municipality or Municipality may determine the rate and collect vehicle tax on tangas, rickshaws, auto rickshaws, and e-rickshaws and deposit it into its own fund. (b) The Province shall determine the rate of land and building registration fee, and the Rural Municipality or Municipality shall collect it. (c) The Rural Municipality or Municipality shall determine the rate and collect the advertisement tax. (d) The Province shall determine the rate and method of collection of the entertainment tax, and the Rural Municipality or Municipality shall collect it. (e) Regarding the determination and collection of tourism fee, it shall be done as follows: - (1) The Province shall determine the rate and collect the trekking and tourism fee. (2) The Rural Municipality or Municipality shall determine and collect the entry fee for the use of heritage sites such as gardens, parks, zoos, historical and archaeological heritage, and museums. (f) The Province shall determine the rate and procedure for natural resource tax on stone, gravel, slate, sand, limestone, shale, mica, and quartzite, and the Rural Municipality or Municipality shall collect it. (2) Notwithstanding anything written in sub-section (1), the determination and collection of mountaineering fees and entry fees for national parks, wildlife reserves, and conservation areas shall be as arranged by the Government of Nepal. (3) There shall be one fund at the provincial level to deposit the revenue collected by the Province and the Rural Municipality and Municipality pursuant to this section, and the revenue collected by them shall be deposited in such fund with separate source headings clearly indicated. (4) For the balanced and transparent distribution of the revenue amount deposited in the fund pursuant to sub-section (3), the following bases shall be adopted: - (a) Basis of revenue generation, (b) Revenue collection costs, (c) The scope of services that the Province and the Rural Municipality or Municipality must provide to the people, (d) Poverty reduction and reduction of local regional imbalances and inequalities, (e) Other income bases. 65.

Local Revenue Advisory Committee: (1) In the Rural Municipality or Municipality, there shall be a Local Revenue Advisory Committee for consultation on revenue matters, constituted as follows: - (a) Vice-Chairperson or Deputy Chief - Coordinator (b) Chief Administrative Officer - Member (c) Two members, including one woman, from among the members of the Executive appointed by the Executive - Member (d) Chairperson of the village or municipal level of the recognized institution related to industry and commerce of the private sector, or a representative designated by him/her - Member (e) Chairperson of the village or municipal level of the recognized institution related to cottage and small industries, or a representative designated by him/her - Member (f) Chief of the Revenue Department, Division, or Section of the Executive - Member Secretary (2) The functions, duties, and powers of the Revenue Advisory Committee shall be as follows: - (a) To provide necessary consultation regarding the formulation, amendment, modification, and compliance of revenue-related policies and laws, (b) To analyze the sources, scope, and rates of revenue and estimate the revenue that may be received in the upcoming fiscal year, (c) To analyze and estimate

internal income based on the rates and areas of revenue, (d) To advise on tax policies that contribute to the promotion of local industries and businesses and creation of employment, (e) To advise on the rates of tax revenue, non-tax revenue, service fees, charges, etc., (f) To provide other necessary advice for revenue administration reform. (3) The Committee pursuant to sub-section (1) may invite experts from related fields and other stakeholders to its meetings as needed. (4) The procedure for the meeting of the Committee pursuant to sub-section (1) shall be as determined by the Committee itself. 66. Resource Estimate and Budget Ceiling Determination Committee: (1) In the Rural Municipality and Municipality, there shall be a Resource Estimate and Budget Ceiling Determination Committee, constituted as follows, for projecting internal income, revenue received from revenue sharing, grants, loans, and other income, for preparing a balanced distribution plan thereof, and for determining the budget ceiling: - (a) Chairperson or Chief - Coordinator (b) Vice-Chairperson or Deputy Chief - Member (c) Four members appointed by the Chairperson or Chief from among the members of the Executive, ensuring representation of women, Dalits, or minorities - Member (d) Chief Administrative Officer - Member Secretary (2) While appointing members pursuant to clause (c) of sub-section (1), the Chairperson or Chief shall also appoint members from political parties other than his/her own.

Provided that, this sub-section shall not apply if there is no representation of other political parties in the Executive.

(3) The functions, duties, and powers of the Committee pursuant to sub-section (1) shall be as follows: -

(a) To project internal income, income from revenue sharing, fiscal transfers from the Government of Nepal and Provincial Government, internal loans, and other income,

(b) To prepare a balanced distribution plan of projected resources and means, taking into account national and provincial priorities and local needs,

(c) To determine the total budget ceiling for the upcoming fiscal year based on the resource estimate,

(d) To determine sectoral budget ceilings,

(e) To set criteria for prioritizing the budget and programs based on guidance received from the Government of Nepal and Provincial Government, local economic conditions, and the status of internal income,

(f) To prepare guidance related to sectoral budget formulation,

(g) To perform other functions as per the needs and decisions of the local level regarding resource estimates and budget ceiling determination.

(4) In the meeting of the Committee pursuant to sub-section (1), concerned employees and subject matter experts may be invited as needed.

(5) The procedure for the meeting of the Committee pursuant to sub-section (1) shall be as determined by the Committee itself.

(6) The Committee pursuant to sub-section (1) must complete its work within the month of Falgun (mid-February to mid-March) of each year, and while projecting the budget, it must also project for an additional two years beyond the upcoming fiscal year.

(7) The Chief Administrative Officer must provide the budget ceiling for the upcoming fiscal year, prepared pursuant to sub-section (1), to the thematic departments, divisions, branches, and ward committees of the Rural Municipality or Municipality by the fifteenth day of Chaitra (late March/early April) of each year.

(8) Within the budget ceiling received pursuant to sub-section (7), the thematic departments, divisions, branches, and ward committees shall formulate plans, projects, programs, and estimated budgets of the Rural Municipality or Municipality and submit them to the Executive. 67.

Budget and Program Formulation Committee: (1) There shall be a Budget and Program Formulation Committee, constituted as follows, for the formulation of the annual budget and program of the local level

based on the income projection, distribution plan, and budget ceiling determined pursuant to Section 66: - (a) Vice-Chairperson or Deputy Chief - Coordinator (b) Members of the Village Executive and Municipal Executive overseeing thematic areas - Member (c) Chief Administrative Officer - Member (d) Chief of the Planning Department, Division, or Branch - Member Secretary (2) The functions, duties, and powers of the Committee pursuant to sub-section (1) shall be as follows: - (a) To prepare a draft of policies and programs for the upcoming fiscal year, (b) To prioritize budgets and programs within the budget ceiling provided by the Committee pursuant to Section 66, (c) To arrange for sectoral discussions on the budget and program proposal, prepare a final proposal, and submit it to the Executive, (d) To ensure no duplication in plans and programs and to maintain mutual consistency and complementarity among plans and programs, (e) To perform other functions as per the needs of the local level regarding budget and program formulation. (3) The procedure for the meeting of the Committee pursuant to sub-section (1) shall be as determined by the Committee itself. 68. May Take Loans: (1) The Rural Municipality and Municipality may take internal loans for productive, employment-generating, internal income-enhancing, and capital works, within the limit recommended by the National Natural Resources and Finance Commission and approved by the relevant Assembly. (2) Loans pursuant to sub-section (1) shall not be taken for a period exceeding twenty-five years. (3) If a loan received from the Government of Nepal or a loan taken under the guarantee of the Government of Nepal is not repaid within the specified period by the concerned Rural Municipality or Municipality, the Government of Nepal shall deduct such amount from the grant provided to such Rural Municipality or Municipality and realize the amount or pay off the loan. (4) Other provisions related to taking loans by the Rural Municipality and Municipality shall be in accordance with federal law. Chapter-10 Economic Operating System of Rural Municipality and Municipality 69.

Local Accumulated Fund: (1) Each Rural Municipality and Municipality shall have its own Local Accumulated Fund. (2) The Fund pursuant to sub-section (1) shall consist of the following amounts: - (a) Amounts received from its own collected revenue and income, (b) Amounts received from revenue sharing, (c) Grants and other amounts received from the Government of Nepal, (d) Grants and other amounts received from the Provincial Government, (e) Amounts received from any person, association, or organization, (f) Amounts provided from foreign assistance obtained by the Government of Nepal from foreign governments, agencies, associations, organizations, or individuals for the Rural Municipality and Municipality based on national priority, (g) Grants and other amounts received from other Rural Municipalities and Municipalities, (h) Amounts received from internal loans, (i) Amounts received from any other source. (3) All amounts deposited in the Fund of the Rural Municipality or Municipality must be deposited by opening an account in a bank. (4) Arrangements for spending the amount deposited in the Fund pursuant to sub-section (1) shall be in accordance with local law. (5) While making a law pursuant to sub-section (4), it must be made in such a way that amounts other than the following cannot be spent from the Fund: - (a) Amounts according to the annual budget approved by the Assembly for expenditure from the Accumulated Fund, (b) An amount not exceeding one-third of the allocated expenditure amount in the budget pending consideration, as an advance for the operation of daily activities while the annual budget is under consideration, (c) Amounts that the Rural Municipality or Municipality is required to pay or deposit pursuant to a court judgment, (d) Amounts specified by the Assembly for the Contingency Fund pursuant to Section 70, (e) Principal and interest amounts payable on loans taken by the Rural Municipality or Municipality. 70. Contingency Fund: The Rural Municipality and Municipality may establish and operate a Contingency Fund in accordance with local law. 71.

To Present and Pass Budget: (1) The Vice-Chairperson, Deputy Chief, or any member of the Executive designated by the Executive must present the estimate of revenue and expenditure (budget) for the upcoming fiscal year, approved by the Executive, to the Assembly within the tenth day of Asar (late June). (2)

The annual revenue and expenditure pursuant to sub-section (1) must state the actual details of revenue and expenditure of the previous fiscal year, the revised estimate of income and expenditure up to the end of the current fiscal year, and the plans and programs and estimated details of income and expenditure for the upcoming fiscal year. (3) The Assembly must prepare a schedule for the budget presented pursuant to sub-section (1) and complete the discussion within fifteen days. (4) After the discussion is completed pursuant to sub-section (3), the Assembly may pass the budget or send it back to the Executive with suggestions. (5) The Executive shall reconsider the budget received with suggestions pursuant to sub-section (4) and re-submit it to the Assembly within five days, with necessary modifications or, if no modification is deemed necessary, with reasons. (6) The Assembly must pass the budget presented pursuant to sub-section (1) or (5) by the end of Asar (mid-July). (7) Notwithstanding anything written elsewhere in this section, it shall not be deemed an obstacle for the office bearers of the Rural Municipality and Municipality formed from the first election to present and pass the budget within two months of assuming office. (8) Supplementary estimates and other provisions related to the budget shall be in accordance with local law. 72. Fiscal Year and Accounts of Income and Expenditure: (1) The Rural Municipality and Municipality shall maintain accounts of income and expenditure, adopting the period from the first day of Shrawan (mid-July) of each year to the end of Asar (mid-July) of the following year as the fiscal year. (2) The Rural Municipality and Municipality shall adopt the classification of income and expenditure and the provisions related to expenditure headings as determined by the Government of Nepal. (3) While adopting the provisions pursuant to sub-section (2), the Rural Municipality and Municipality may make additional classifications of income and expenditure without changing the main headings. 73.

Expenditure Authorization and Procedure: (1) Within seven days of the approval of the budget by the Assembly, the Chief or Chairperson shall grant expenditure authorization for the budget to the Chief Administrative Officer. (2) Within fifteen days of receiving authorization pursuant to sub-section (1), the Chief Administrative Officer shall grant authorization to spend in accordance with prevailing law, along with the program and budget, to the concerned department or division head and ward secretary. (3) The total responsibility for accounting matters, including spending, maintaining or causing to be maintained accounts, getting audits done, and settling irregularities of the amount authorized pursuant to sub-sections (1) and (2), within the limits of the approved budget and in accordance with prevailing law, shall lie with the authorized officer. (4) The Local Accumulated Fund shall be operated by the Chief Administrative Officer and the Chief of Accounts of the Rural Municipality or Municipality, and the fund of the District Coordination Committee shall be operated by the District Coordination Officer and the Chief of Accounts. (5) The expenditure account shall be operated by the Chief Administrative Officer of the Rural Municipality or Municipality or an employee of the officer level designated by him/her, and the Chief of Accounts or an accounts employee designated by him/her, and in the case of the District Coordination Committee, by the District Coordination Officer or an employee of the officer level designated by him/her, and the Chief of Accounts or an accounts employee designated by him/her. (6) While spending the approved budget, the Chief Administrative Officer shall make necessary arrangements to ensure regularity, economy, efficiency, effectiveness, and justification. (7) The Executive shall not spend the budget beyond the limits and headings approved by the Assembly. 74. To Make Public Procurement: (1) When the Rural Municipality and Municipality have to make public procurement, they must do so in accordance with the Federal Public Procurement Act. (2) Subject to the Act pursuant to sub-section (1), the Rural Municipality and Municipality may make and implement public procurement regulations. 75. To Be Deposited in the Accumulated Fund: The amount remaining unspent in a fiscal year shall be automatically transferred to the Accumulated Fund of the Rural Municipality or Municipality at the end of the fiscal year. 76.

Accounts of Transactions: (1) The system of accounts for transactions, income, and expenditure, and the classification of revenue and expenditure headings of the Rural Municipality and Municipality shall be as prescribed. (2) The local level shall maintain the accounts of its transactions in a format approved by the Auditor General upon the recommendation of the Office of the Comptroller General. (3) The Chief Administrative Officer shall submit the quarterly progress report of the amount spent from the Fund of the Rural Municipality or Municipality to the meeting of the Executive within fifteen days of the end of such period. (4) The Rural Municipality, Municipality, and Ward Offices shall make public the details of their income and expenditure within the seventh day of each month. (5) The Rural Municipality and Municipality shall prepare a quarterly heading-wise statement of income and expenditure in the Local Accumulated Fund and send it to the Federal Ministry of Finance, Provincial Ministry of Finance, the Ministry, and the National Natural Resources and Finance Commission. (6) If any loss, damage, or harm is caused to the Government of Nepal, Provincial Government, or local level due to an employee responsible for maintaining accounts of the income and expenditure of the local level failing to maintain proper accounts, the loss or damage so caused shall be recovered from the employee causing such loss or damage. 77. Audit: (1) The local level shall have its final audit of income and expenditure conducted by the Auditor General. (2) The local level shall have an internal audit of its income and expenditure conducted in accordance with law. (3) Deficiencies pointed out by the internal audit pursuant to sub-section (2) shall be re-audited by the concerned officer before the final audit takes place. (4) One copy of the internal audit conducted pursuant to sub-section (2) shall be made available to the door team deployed for the final audit or the person or body designated by the Auditor General. 78.

To Implement Internal Control System: (1) The local level shall prepare and implement an internal control system according to the nature of its work to ensure that the work performed by its office is carried out in an economical, effective, regular, and efficient manner, to make the financial reporting system reliable, and to perform work in accordance with prevailing law. (2) While preparing the internal control system pursuant to sub-section (1), matters such as identification of risk areas, control environment, information exchange, monitoring, and evaluation shall also be included according to the nature of the work. (3) To monitor the internal control system pursuant to sub-section (1), the Chairperson, Chief of the Rural Municipality or Municipality, or the Chief of the District Coordination Committee shall monitor it themselves or make arrangements for monitoring by designating a responsible officer. (4) The responsibility for correcting the errors found from the monitoring conducted pursuant to sub-section (3) and strengthening the internal control system shall lie with the concerned Chairperson, Chief, or Chief of the District Coordination Committee. (5) The Rural Municipality and Municipality shall conduct programs such as public examination, social audit, and public hearing to make the delivery of public services transparent, accountable, and responsible. 79. Budget Re-appropriation: Subject to the approved annual budget, the Executive may make budget re-appropriation up to twenty-five percent from any heading to a capital heading. 80. Use of Information Technology: The Ministry may prescribe the format of information technology to be used in the economic operating system and administrative work of the local level to maintain uniformity and promote transparency and accountability in such areas. Chapter-11 Administrative Organization and Employee Management 81. Office: The office of the Rural Municipality, Municipality, and Ward shall be located at the center of such Rural Municipality, Municipality, or Ward. 82. Seal of Office: The local level shall use the emblem of Nepal, and may mention its name on the lower edge of such seal. 83.

Administrative Organization and Employee Positions: (1) The Rural Municipality and Municipality shall, taking into account their own workload, revenue capacity, expenditure size, local needs, and specificity, establish an organizational structure with thematic branches or departments in the Rural Municipality or Municipality based on an organization and management survey only after employee adjustment. (2) The organizational

structure pursuant to sub-section (1) must include the organizational structure of each ward. (3) The Chief Administrative Officer shall, analyzing the jurisdiction and workload of the Rural Municipality and Municipality, prepare a proposal for employee positions required for work of a permanent nature and those to be taken on a service contract basis, based on an organization and management survey. (4) While preparing the proposal for employee positions pursuant to sub-section (3), the proposal for positions shall be made only after analyzing the sources to bear the expenses for service facilities such as salary, allowance, provident fund deduction amount, contribution-based gratuity or pension, medical treatment, leave, etc., required for permanent employees, and ensuring such expenses. (5) While preparing the proposal for positions pursuant to sub-section (3), the proposal for positions shall be made only after analyzing the sources to bear the expenses for service facilities such as salary, allowance, and contribution-based social security, etc., required for service contracts, and ensuring such expenses. (6) Temporary positions shall not be created for the operation of local level services. (7) If expert service is required to perform any work based on an organization and management survey, and it is deemed appropriate and effective to perform such work through a service contract, the Rural Municipality and Municipality may perform such work through a service contract. (8) Notwithstanding anything mentioned elsewhere in this section, the Rural Municipality and Municipality shall fill positions related to municipal police, drivers, peons (sayas), office assistants, plumbers, electricians, watchmen, gardeners, and sanitation by service contract only, based on competition, without making permanent appointments in such positions. Positions and services other than these shall not be filled by contract. (9) The service period, remuneration, and other facilities of employees appointed by service contract pursuant to sub-sections (7) and (8) shall be as mentioned in that contract. (10) The organization and management survey report prepared pursuant to this section must be approved by the Assembly. 84.

Provision Regarding Chief Administrative Officer: (1) There shall be a Chief Administrative Officer to act as the administrative chief of the Rural Municipality and Municipality. (2) Until the functions, duties, and powers of the Chief Administrative Officer are prescribed by local law, the functions, duties, and powers of the Chief Administrative Officer shall be as follows: - (a) To act as the secretary of the Assembly and the Executive, (b) To implement or cause to be implemented the decisions of the Assembly and the Executive, (c) To formulate, implement, monitor, and evaluate or cause to be formulated, implemented, monitored, and evaluated annual programs and budgets under the direction of the Chairperson or Chief, (d) To maintain or cause to be maintained accurate accounts and records of the fund and financial transactions, get audits conducted, and settle or cause to be settled irregularities, (e) To prepare reports for the adjustment of projects and submit them to the meeting of the Executive, (f) To protect or cause to be protected the movable and immovable property of the Rural Municipality or Municipality, maintain or cause to be maintained records and update them, (g) To call meetings of the Executive and the Assembly under the direction of the Chairperson or Chief, and perform or cause to be performed necessary work related to the meetings, (h) To certify decisions of the Executive and secure records of decisions of the Assembly and the Executive, (i) To protect or cause to be protected case files related to settlements and decisions made by the Judicial Committee, (j) To exercise administrative and financial control over the Rural Municipality or Municipality, (k) To prepare a public procurement plan and perform or cause to be performed procurement-related work, (l) To perform or cause to be performed other tasks assigned by the Assembly or the Executive. (3) The appointment of the Chief Administrative Officer shall be in accordance with law. (4) Until a Chief Administrative Officer is appointed pursuant to sub-section (3), the Government of Nepal shall depute any officer level employee of the civil service to work as the Chief Administrative Officer. 85. Employee Adjustment: (1) Notwithstanding anything written elsewhere in this Act, provisions regarding employee adjustment in the local level shall be in accordance with prevailing federal law. (2) Until employee adjustment is made pursuant to sub-section (1),

the Government of Nepal may depute any employee working in the civil service or local level to work in the local level. (3) Notwithstanding anything written in sub-section (1), permanent employees working in the local level at the time of commencement of this Act shall be deemed to have been automatically adjusted to the concerned local level.

Employees of the District Coordination Committee may be deputed to local levels in the concerned district and while deputing employees in this manner, priority shall be given to Rural Municipalities and Municipalities with insufficient employees. 86. Formation of Local Service and Employee Appointment and Conditions of Service: (1) The basic principles and standards relating to the formation, operation, management, conditions of service, and facilities of the local service shall be in accordance with federal law.

(2) Subject to sub-section (1), other provisions relating to the formation, operation, management, conditions of service, and facilities of the local service shall be in accordance with the law made by the local level.

(3) Only candidates selected and recommended by the Provincial Public Service Commission shall be appointed to permanent positions in the local service.

(4) If the Federation and the Province request records and details of employees of the local service, it shall be the duty of the local level to provide such records and details. 87. Provision Regarding Competition:

Employees continuously working up to the time of commencement of this Act in vacant positions that need to be filled among the approved permanent positions of the local level shall be given an opportunity to participate in the examination of the first open and internal competitive advertisement conducted by the Public Service Commission after the commencement of this Act. The age limit shall not apply to such employees to participate in the examination of the first advertisement. If they do not participate in or fail the said examination, they shall be automatically retired. 88. Salary of Employees: The initial salary scale of employees of the local service shall be as prescribed by the Provincial Government, and until so prescribed by the Provincial Government, it shall be as prescribed by the Government of Nepal. 89. May Depute on Secondment: The Government of Nepal may, upon the request of the local level, if deemed appropriate, depute any civil service employee on secondment for a maximum of two years, with salary and allowances to be borne by the local level itself. 90. To Adopt a Level-based System: The local level shall adopt a classification-based level system while forming, operating, and managing the local service. 91.

Chapter-12

Provisions Relating to District Assembly

92. Functions, Duties, and Powers of District Assembly: (1) Until otherwise provided by Provincial law, in addition to the functions, duties, and powers mentioned in Article 220(7) of the Constitution, the other functions, duties, and powers of the District Assembly shall be as follows: -

(a) To coordinate for identifying and managing development and construction matters between Rural Municipalities or Municipalities within the district,

(b) To prepare details of development and construction-related programs conducted by the government and non-government sectors within the district, monitor the effectiveness and management of such programs at various stages, provide necessary suggestions or guidance to maintain sectoral or community-based, thematic, and environmental balance regarding the outcomes of such programs, and make public the suggestions or guidance so given,

(c) To coordinate with the Province and the Federation for the capacity development of Rural Municipalities and Municipalities within the district,

(d) To coordinate between federal or provincial government offices located in the district and Rural Municipalities and Municipalities,

- (e) To coordinate and facilitate the resolution of any dispute that arises between Rural Municipalities and Municipalities within the district,
- (f) To coordinate plans and actions related to natural disaster and disaster management within the district,
- (g) To coordinate with non-governmental organizations and the private sector to maintain balance in development and construction-related work within the district,
- (h) To study, research, and monitor whether there is balance in development and construction-related

(a) Property including land, buildings, vehicles, machinery, and equipment owned by the District Assembly or purchased or constructed from the District Assembly's fund,

(b) Property acquired through transfer of title from the Government of Nepal, Provincial Government, or any organization or individual.

(2) The District Assembly shall not sell or otherwise transfer title of property referred to in sub-section (1) without the approval of the Government of Nepal.

(3) Notwithstanding anything contained elsewhere in this section, nothing shall prevent the Ministry from making available for use or transferring title of any property that appears to be surplus to the requirements of the District Assembly or is recommended by the District Assembly to any Rural Municipality or Municipality or other government body. Provided that, while transferring title of land or buildings, a decision must have been made by the Government of Nepal. Chapter-14

Provisions Relating to Special, Protected or Autonomous Areas

99.

Power to create Special, Protected or Autonomous Areas: (1) The Government of Nepal may, in consultation with the Provincial Government, by publishing a notice in the Nepal Gazette, designate any of the following areas as a Special, Protected or Autonomous Area for social, cultural preservation or economic development:

- (a) One or more districts, (b) One or more Rural Municipalities or Municipalities, (c) One or more wards of a Rural Municipality or Municipality. (2) While designating a Special, Protected or Autonomous Area pursuant to sub-section (1), the following bases must be considered: (a) For a Special Area: (1) Being geographically remote due to lack of transportation and infrastructure, (2) The percentage of population below the poverty line and income inequality being higher than the national average, (3) Predominance of economically and socially backward communities, (4) Any other basis deemed appropriate by the Government of Nepal. (b) For a Protected Area: (1) Inhabited by minority, marginalized, or endangered communities, (2) The social and economic development index of the community referred to in sub-clause (1) being lower than the national average, (3) Any other basis deemed appropriate by the Government of Nepal. (c) For an Autonomous Area: (1) Dense presence and predominance of a community with a common language or culture, (2) The social and economic development index of the community referred to in sub-clause (1) being lower than the national average, (3) Any other basis deemed appropriate by the Government of Nepal. 100. Power to conduct Special Programs: The Government of Nepal and the Provincial Government shall conduct special programs or provide additional budget for the development of a Special, Protected, or Autonomous Area designated pursuant to Section 99. 101. Implementation of Special Programs in coordination with Local Level: The Government of Nepal and the Provincial Government shall coordinate with the concerned District Assembly, Rural Municipality, and Municipality while conducting special programs in a Special, Protected, or Autonomous Area. Chapter-15 Miscellaneous 102.

Power to make Local Laws: (1) A Rural Municipality or Municipality may enact Acts on matters within its

jurisdiction. (2) Subject to the Act made pursuant to sub-section (1), the Executive may make rules, directives, procedures, and standards as necessary. (3) Laws made by a Rural Municipality or Municipality pursuant to sub-sections (1) and (2) must be published in the local gazette. (4) Laws made pursuant to sub-sections (1) and (2) must be sent by the Rural Municipality or Municipality to the Provincial Government and the Government of Nepal. (5) No law shall come into effect until such law is published pursuant to sub-section (3). 103. Power to Recommend: Unless a specific body is designated by prevailing law for making a recommendation on a particular matter, the Executive shall have the authority to make recommendations on any other matters. 104. Transfer of Assets, Liabilities, and Budget: Based on the rights vested in Rural Municipalities and Municipalities under the Constitution and this Act, the concerned line ministries of the Government of Nepal shall, within six months from the date of commencement of this Act, review the organizational structure of entities under them and make necessary arrangements so that the assets, liabilities, and budget held in the name of the concerned entity are transferred to the concerned Rural Municipality or Municipality according to its assigned responsibilities. 105.

Provincial Coordination Council: (1) There shall be a Provincial Coordination Council to maintain coordination between the Province and Local Level on matters relating to policy coherence in activities undertaken by the Province and Local Level, strategic partnership in plan management, exercise of concurrent powers, and utilization and distribution of natural resources. (2) The Council referred to in sub-section (1) shall consist of the following office bearers: (a) Chief Minister - Coordinator (b) Ministers of the Provincial Government - Members (c) Chief Secretary of the Province - Member (d) Secretaries of the Provincial Government - Members (e) Chairperson and Vice-Chairperson of District Coordination Committees within the Province - Members (f) Chairperson and Vice-Chairperson of Rural Municipalities and Mayor and Deputy Mayor of Municipalities within the Province - Members (g) Secretary of the Ministry of the Provincial Government dealing with Local Level - Member Secretary (3) Officials from ministries and experts may be invited as observers to the committee referred to in sub-section (2). (4) The meeting of the Council referred to in sub-section (2) shall be held at least once a year. (5) The procedures relating to the meeting of the Council referred to in sub-section (2) shall be as determined by the Council itself. 106.

Obligation to Provide Assistance: (1) The Government of Nepal and the Provincial Government shall provide assistance to Rural Municipalities or Municipalities as follows: (a) Provide guidance including the budget ceiling of the Federal Government and Provincial Government and national and provincial priorities and standards before the commencement of the annual planning and budgeting process of the Rural Municipality or Municipality, (b) Abolish parallel offices related to matters within the jurisdiction of the Rural Municipality or Municipality and develop the capacity of the thematic unit or branch of the Rural Municipality or Municipality, (c) Implement plans falling within the jurisdiction of line ministries and to be executed in a Rural Municipality or Municipality in coordination with that Rural Municipality or Municipality, (d) If it appears more effective to implement any plan falling within the jurisdiction of the Government of Nepal or Provincial Government through a Rural Municipality or Municipality, make arrangements for implementation by or through the Rural Municipality or Municipality and make available the budget and other resources allocated for such plan to that Rural Municipality or Municipality, (e) Prepare and provide necessary model law frameworks for Rural Municipalities and Municipalities by the Government of Nepal, (f) Provide assistance in implementing the decisions of the Rural Municipality or Municipality, (g) Perform other necessary tasks to empower the Rural Municipality or Municipality. (2) The Government of Nepal and the Provincial Government shall provide necessary assistance to the District Coordination Committee to work on matters related to its jurisdiction. 107. Provision Relating to By-election of Ward Chairperson: If the post of Ward Chairperson falls vacant for any reason when the term of office exceeds one year, the vacant post shall be filled for the remaining term

through a by-election. 108. Provision Relating to Election of District Coordination Committee: If the post of Chairperson, Vice-Chairperson, or member of the District Coordination Committee falls vacant pursuant to Article 220 (6) of the Constitution, it shall be filled through an election held pursuant to sub-article (3) of the same article. 109.

Oath: (1) The Chairperson or Mayor shall, within seven days of being elected and before assuming office, take an oath of office and secrecy before the concerned District Judge in the format as per Schedule-2. (2) The Vice-Chairperson, Deputy Mayor, Ward Chairperson, and members of the Assembly shall, within seven days of the Chairperson or Mayor taking the oath, take an oath of office and secrecy before the concerned Chairperson or Mayor in the format as per Schedule-2. (3) The Chairperson of the District Coordination Committee shall, within seven days of being elected and before assuming office, take an oath of office and secrecy before the concerned District Judge, and the Vice-Chairperson and members of the District Coordination Committee shall, within seven days of the Chairperson of the District Coordination Committee taking the oath, take an oath of office and secrecy before the concerned Chairperson of the District Coordination Committee in the format as per Schedule-2. 110. Submission of Property Details: (1) A member shall, within sixty days of assuming office and within sixty days from the end of each fiscal year, submit an updated details, including the source or evidence, of movable and immovable property held in the name of the member and the member's family members to the concerned Local Level in the format prescribed by prevailing law. (2) The Local Level shall keep a record of the property details submitted pursuant to sub-section (1) and forward it to the Provincial Government within thirty days. (3) The Provincial Government shall preserve and manage the details received pursuant to sub-section (2) in accordance with prevailing law. (4) Property details submitted pursuant to this section shall remain confidential except for the purpose of inquiry or investigation as per prevailing law. Provided that, there shall be no bar for a member submitting such details to voluntarily make their property details public. 111. Proportional Inclusiveness to be Maintained: While appointing or nominating committees, sub-committees, or task forces formed pursuant to this Act, proportional inclusiveness must be maintained. 112.

Code of Conduct to be Formulated and Implemented: (1) A Local Level may formulate and implement a code of conduct for its members and employees. (2) The code of conduct referred to in sub-section (1) shall, in addition to other matters, include matters such as not participating in decision-making processes where personal interest or benefit is involved, adopting transparent and accountable working procedures, prohibiting misuse of public property, promoting public etiquette and good governance, respecting the working procedures and jurisdiction of other Local Levels, the Province, and the Federation. 113. Acts not to be Invalidated: Notwithstanding anything contained elsewhere in this Act, no act done by a Rural Municipality or Municipality shall be invalidated solely on the ground of a vacancy in the seat of any member in the Rural Municipality or Municipality. 114. Obligation to Follow Directives: It shall be the duty of the concerned Local Level to follow the directives given by the Government of Nepal pursuant to Article 232 (8) of the Constitution. 115. Executive to Exercise Powers: Except where this Act expressly provides that an act shall be done by the Assembly, the Executive shall carry out the functions performed by the Rural Municipality or Municipality. 116. Power to Act as Acting: (1) If the post of Ward Chairperson falls vacant for any reason, a member selected from among themselves by the members of the Ward Committee shall act as the Acting Ward Chairperson. (2) If an election has not been held for a ward, the Executive may designate an employee to perform the functions of Ward Chairperson until the election is held. 117. Liaison Ministry: (1) A Local Level shall liaise with the Government of Nepal through the Ministry. (2) A Local Level shall liaise with the Provincial Government through the Ministry of the Province dealing with Local Level. 118. Functions of Provincial Government to be Performed by Government of Nepal: Until the Provincial Government is formed,

the Government of Nepal shall perform the functions to be performed by the Provincial Government under this Act. 119. Power to make Rules: The Government of Nepal may make necessary Rules for the implementation of this Act. 120. Prevailing under this Act: Notwithstanding anything contained in prevailing law, matters provided for in this Act shall be governed by this Act. 121.

Repeal and Saving: (1) The following Acts are hereby repealed: (a) Local Self-Governance Act, 2055 (1999), (b) Act to Determine the Number of Wards of Rural Municipalities and Municipalities, 2073 (2017). (2) Acts done under the Acts referred to in sub-section (1) shall be deemed to have been done under this Act.

Schedule-1 (Relating to sub-clause (1) of clause (a) of sub-section (1) of Section 8) Details of Himalayan, Hilly, Inner Madhesh and Terai Districts (a) Himalayan Districts (b) Hilly Districts (c) Inner Madhesh Districts (d) Terai Districts (e) Kathmandu Valley Districts

1. Taplejung 1. Panchthar 1. Udayapur 1. Jhapa 1. Kathmandu 2. Sankhuwasabha 2. Ilam 2. Makwanpur 2. Morang 2. Lalitpur 3. Solukhumbu 3. Tehrathum 3. Chitwan 3. Sunsari 3. Bhaktapur 4. Dolakha 4. Dhankuta 4. Sindhuli 4. Saptari 5. Sindhupalchok 5. Bhojpur 5. Nawalparasi (Bardaghat Susta East) 5. Siraha 6. Rasuwa 6. Okhaldhunga 6. Dang 6. Dhanusha 7. Manang 7. Khotang 7. Surkhet 7. Mahottari 8. Mustang 8. Kavrepalanchok 8. Sarlahi 9. Dolpa 9. Nuwakot 9. Rautahat 10. Jumla 10. Lamjung 10. Bara 11. Mugu 11. Tanahun 11. Parsa 12. Humla 12. Kaski 12. Nawalparasi (Bardaghat Susta West) 13. Kalikot 13. Syangja 13. Rupandehi 14. Bajura 14. Parbat 14. Kapilvastu 15. Bajhang 15. Myagdi 15. Banke 16. Darchula 16. Baglung 16. Bardiya 17. Dhading 17. Palpa 17. Kailali 18. Ramechhap 18. Arghakhanchi 18. Kanchanpur 19. Gorkha 19. Gulmi 20. Rukum (East) 20. Rukum (West) 21. Rolpa 22. Pyuthan 23. Salyan 24. Jajarkot 25. Dailekh 26. Doti 27. Achham 28. Baitadi 29. Dadeldhura

Schedule-2 (Relating to Section 109) Format for Taking Oath I, , do solemnly pledge to be fully loyal to the nation and the people, and swear in the name of God/country and the people that, being fully loyal to the Constitution of Nepal which vests the sovereignty and state authority of Nepal in the Nepali people, I will discharge the duties of the office of Chairperson/Vice-Chairperson/Member of the Rural Executive, Member of the Rural Assembly, Mayor/Deputy Mayor/Member of the Municipal Executive, Member of the Municipal Assembly, Chairperson/Vice-Chairperson/Member of the District Coordination Committee, Member of the District Assembly, subject to the prevailing law, in accordance with the will of the people of the country, without fear, favor, prejudice, or ill will, maintaining the confidentiality of the office, with honesty and sincerity. Name: Date: Signature: